Introduction to Data Science in Non-Life Insurance

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Welcome to My Book

1 Chapter 1: Introduction to Risk and Insurance

Learning Outcomes

After studying this chapter, students should be able to:

1. Define the fundamental concepts of risk, peril, hazard, insurance, and insurance premiums.
2. Identify the main types of insurance, the parties to an insurance contract, and the characteristics of normally insurable risks.
3. Explain the classifications of risk and the principles of risk transfer, risk pooling, and indemnity.
4. Describe the insurance mechanism, the benefits of insurance, and the structure and regulation of the insurance industry in Thailand.
5. Explain the roles of probability, the law of averages, and the law of large numbers in insurance.
6. Classify risks according to their characteristics and determine whether they are normally insurable.
7. Interpret the basic components and principles of insurance premium determination in simple insurance scenarios.

In everyday life, individuals, businesses, and governments face uncertainty regarding future events. Some of these events may result in financial losses, while others may create opportunities. Insurance is one of the most important mechanisms for managing the financial consequences of uncertain losses by pooling risks across many policyholders.

This chapter introduces the concept of risk, the causes of loss, the characteristics of insurable risks, and the role of insurance in modern society.

1.1 Understanding Risk

Risk refers to the possibility that the actual outcome of an event differs from the expected outcome. In insurance, the focus is primarily on outcomes that lead to financial loss.

More formally, **risk** is the uncertainty surrounding future outcomes together with the possibility that these outcomes may cause adverse financial consequences.

Two perspectives of risk are commonly encountered.

- **Negative perspective (downside risk):** Risk represents the possibility of loss or harm.
- **Positive perspective (upside risk):** Risk also creates opportunities for gain when uncertainty is managed appropriately.

Insurance primarily deals with **downside risk**, whereas investment and business decisions often consider both downside and upside risk.

> ❗ Risk versus Uncertainty
>
> The terms *risk* and *uncertainty* are often used interchangeably, but they are not identical.
>
> - **Risk** refers to uncertainty that can be measured or estimated using probability.
> - **Uncertainty** refers to situations where probabilities are unknown or difficult to estimate.
>
> Insurance relies on measurable risks rather than complete uncertainty.

Example 1.1 (Negative and Positive Perspectives of Risk)**.** Consider a farmer deciding whether to plant a new drought-resistant crop.

- From a **negative perspective**, the farmer may suffer financial losses if the crop fails.
- From a **positive perspective**, adopting the new crop may increase future profits if market demand is high.

Insurance can protect the farmer against certain losses (such as crop damage due to insured perils), but it cannot guarantee higher profits.

1.2 Perils and Hazards

A loss does not occur randomly without a cause. In insurance, it is useful to distinguish between the **peril** that directly causes a loss and the **hazards** that increase the likelihood or severity of that loss.

1.2.1 Peril

A **peril** is the direct cause of a loss. It is the event that triggers damage or financial loss.

Common examples of perils include

- fire,
- lightning,
- flood,
- windstorm,
- theft,
- motor vehicle collision, and
- earthquake.

For example, if a house is damaged by a fire, the **fire** is the peril.

1.2.2 Hazard

A **hazard** is a condition or circumstance that increases either

- the probability that a loss will occur (**loss frequency**), or
- the expected size of the loss (**loss severity**).

A hazard does **not** directly cause a loss. Instead, it makes a peril more likely to occur or increases the damage if the peril occurs.

Hazards are commonly classified into three categories.

1.2.3 Physical Hazard

A **physical hazard** is a tangible characteristic of a person, property, or environment that increases the likelihood or severity of loss.

Examples include

- faulty electrical wiring,
- worn vehicle tyres,
- storing flammable materials improperly,
- poor building maintenance, and
- slippery floors.

For example, faulty electrical wiring increases the likelihood of a fire occurring.

1.2.4 Moral Hazard

A **moral hazard** arises when a person intentionally behaves dishonestly because insurance provides financial protection.

Examples include

- intentionally damaging insured property,
- staging a motor vehicle accident,
- inflating the value of stolen property, and
- submitting fraudulent insurance claims.

Because these actions are intentional, moral hazards increase expected losses and are an important concern in underwriting and claims management.

1.2.5 Morale Hazard

A **morale hazard** arises when a person becomes less careful because insurance reduces the financial consequences of a loss. Unlike a moral hazard, there is **no intention to commit fraud**.

Examples include

- leaving a vehicle unlocked,
- neglecting routine maintenance of insured property,
- failing to install recommended safety devices, and
- driving less cautiously because comprehensive insurance is available.

Morale hazards often increase the frequency of accidental losses.

! Distinguishing Moral and Morale Hazards

Although their names are similar, **moral hazard** and **morale hazard** describe different behaviours.

- A **moral hazard** involves **intentional dishonesty** or fraud.
- A **morale hazard** involves **carelessness or indifference**, but without fraudulent intent.

This distinction is important because insurers use different methods to manage each type of hazard.

i Cause-and-Effect Relationship

The relationship among these concepts can be summarized as

$$\text{Hazard} \longrightarrow \text{Peril} \longrightarrow \text{Loss}.$$

A hazard increases the likelihood or severity of a peril, while the peril is the event that directly causes the loss.
For example,

- **Hazard:** Faulty electrical wiring
- **Peril:** Fire
- **Loss:** Damage to the building and its contents

Example 1.2 (Identifying Perils and Hazards)**.** Consider the following situations.

Situation	Peril	Hazard
A warehouse catches fire because of faulty wiring.	Fire	Faulty electrical wiring (physical hazard)
A policyholder deliberately burns an insured building to receive compensation.	Fire	Intentional fraud (moral hazard)
A driver leaves a car unlocked because it is fully insured, and the car is stolen.	Theft	Carelessness due to insurance (morale hazard)

Situation	Peril	Hazard
Heavy rainfall causes a river to overflow and damage nearby houses.	Flood	Houses located in a flood-prone area (physical hazard)

In each case, the **peril** is the immediate cause of the loss, while the **hazard** is the condition that increases the likelihood or severity of that loss.

1.3 Components of Risk

Insurers assess a risk by considering several related components. Together, these components help answer four fundamental questions:

Question	Component
What can cause a loss?	Peril
What makes the loss more likely or more severe?	Hazard
How often and how large might losses be?	Degree of risk (frequency and severity)
How certain are these estimates?	Uncertainty

This framework forms the basis of underwriting and premium determination.

1.3.1 Peril

The **peril** identifies the event that may result in a loss. Recognising the relevant peril helps insurers determine the appropriate policy coverage, exclusions, and methods of loss prevention.

1.3.2 Hazard

The **hazard** describes the conditions that influence the likelihood or severity of the peril. During underwriting, insurers evaluate hazards to estimate the expected level of risk and determine appropriate premiums or policy conditions.

1.3.3 Degree of Risk

The **degree of risk** describes the overall level of risk associated with a particular exposure. It is commonly assessed using two measures:

- **Frequency:** How often losses are expected to occur.
- **Severity:** The average financial impact of each loss.

These two measures provide valuable information for insurers because risks with similar expected losses may have very different patterns of claims.

Frequency	Severity	Typical Example
High	Low	Minor motor insurance claims
Low	High	Large industrial fire
High	High	Poorly maintained commercial building
Low	Low	Theft of inexpensive household items

For example, a portfolio of motor insurance policies may generate many small claims each year, whereas a commercial property portfolio may experience only a few claims but with very large losses.

1.3.4 Uncertainty

Even after identifying the peril, hazard, frequency, and severity, insurers cannot predict exactly

- whether a loss will occur,
- when it will occur, or
- how large the loss will be.

This lack of certainty is referred to as **uncertainty**.

Insurance companies reduce uncertainty by analysing historical claims data, identifying patterns, and applying statistical and actuarial methods. However, uncertainty can never be eliminated completely.

> **!** Risk Has More Than One Dimension
>
> Two risks may have the same expected loss but require different premiums because their **frequency**, **severity**, or **uncertainty** differs.
> Understanding these dimensions is fundamental to underwriting, pricing, and risk management.

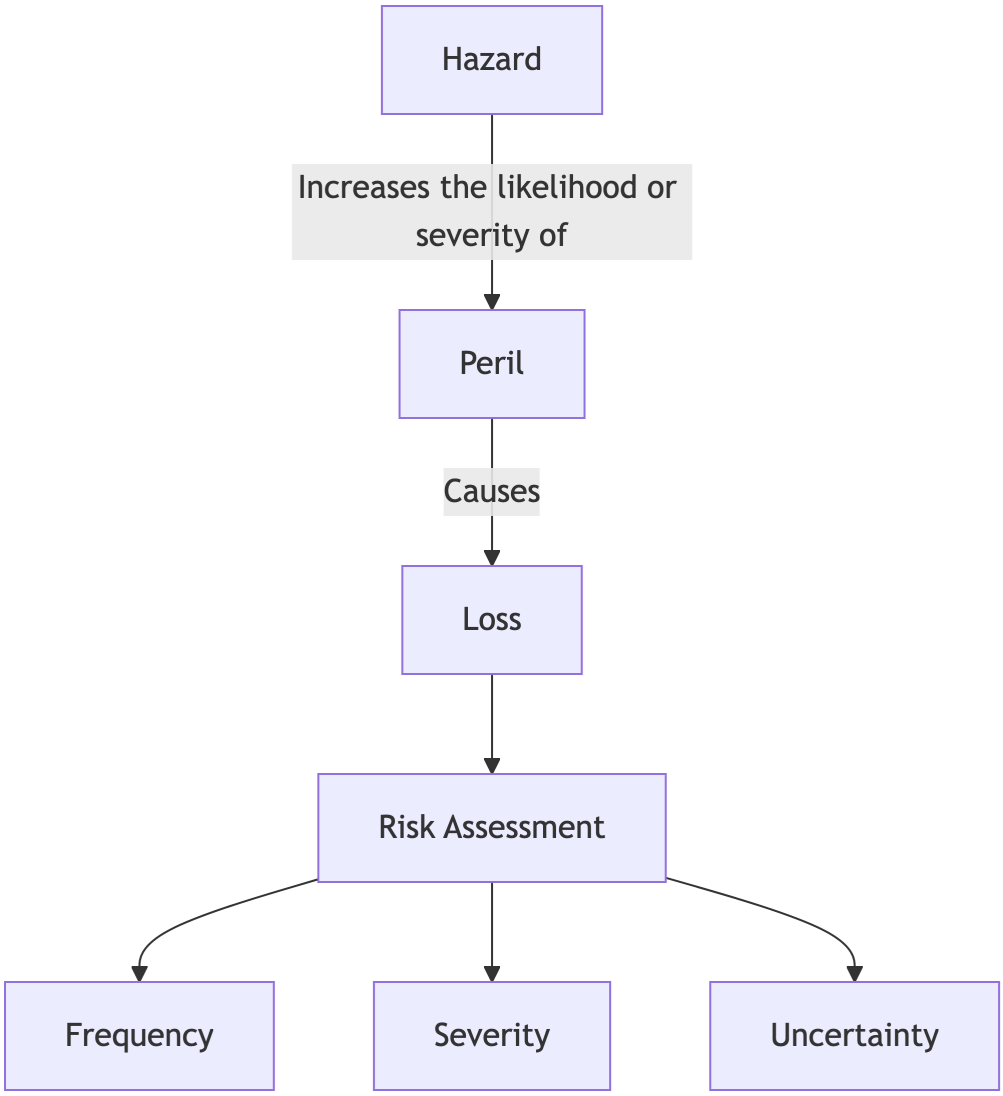
Example 1.3 (Analysing the Components of Risk)**.** Consider a homeowner living in an area prone to flooding.

Component	Description
Peril	Flood
Hazard	House located near a river with inadequate flood protection
Frequency	Flooding is expected once every 10 years
Severity	Each flood may cause substantial damage to the property
Uncertainty	The exact timing and extent of the next flood cannot be predicted

Although the homeowner knows that flooding is possible, the occurrence and magnitude of the next loss remain uncertain. Insurers use historical flood data and catastrophe models to estimate the likelihood and potential cost of future claims.

1.3.5 Relationship among the Components

The components of risk are closely related and can be viewed as a sequence:



The relationship between Hazards, Perils, and Risk Assessment.

Figure 1.1

This framework highlights how insurers assess risks. They identify the **peril**, evaluate the **hazards**, estimate the **frequency** and **severity** of potential losses, and quantify the remaining **uncertainty** before deciding whether to insure the risk and how much premium to charge.

1.4 Classification of Risks

Not all risks have the same characteristics. Classifying risks helps insurers understand the nature of potential losses, determine whether a risk can be insured, and select appropriate methods of risk

management. Several common classifications are used in insurance.

1.4.1 Pure and Speculative Risks

A **pure risk** is a situation in which the possible outcomes are either **loss** or **no loss**. There is no opportunity to make a profit from the occurrence of the risk. Most risks encountered in personal and commercial insurance, such as fire, theft, illness, and motor accidents, belong to this category.

In contrast, a **speculative risk** involves the possibility of either a **gain** or a **loss**. Investing in stocks, starting a business, or trading foreign currencies are examples of speculative risks. Although these activities may generate profits, they may also result in financial losses.

Because insurance is intended to compensate accidental losses rather than guarantee profits, private insurers generally insure **pure risks** but not **speculative risks**.

Example 1.4 (Pure and Speculative Risks)**.** The following situations illustrate the difference between pure and speculative risks.

Situation	Type of Risk
A house is damaged by fire.	Pure
A driver is involved in a motor accident.	Pure
An investor purchases company shares.	Speculative
A business launches a new product.	Speculative

1.4.2 Particular and Fundamental Risks

Risks may also be classified according to the number of people affected.

A **particular risk** affects a single individual, household, or business. Examples include the theft of a vehicle, damage to a factory caused by fire, or injuries resulting from a traffic accident. Since these losses are generally independent across policyholders, they can often be pooled effectively through insurance.

A **fundamental risk**, on the other hand, affects large groups of people or even entire economies. Examples include war, widespread inflation, pandemics, and severe economic recessions. Because many losses occur simultaneously, these risks are difficult for private insurers to diversify and often require government involvement or special insurance arrangements.

> **i** Why Fundamental Risks Are Difficult to Insure
>
> Insurance relies on pooling many independent risks. When a single event causes losses to a large number of policyholders at the same time, the insurer may face claims that exceed its financial capacity. This is one reason why risks such as war and widespread economic disruption are usually excluded from standard insurance policies.

1.4.3 Static and Dynamic Risks

Another useful classification distinguishes between **static** and **dynamic** risks.

A **static risk** exists regardless of changes in the economy or society. Many traditional insurance risks, such as fire, theft, and natural hazards, remain present over time even though their frequency may fluctuate.

A **dynamic risk** arises from changes in economic conditions, technological developments, social behaviour, or government policy. For example, advances in technology have increased exposure to cyber attacks, while climate change has altered the frequency and severity of certain natural hazards. Dynamic risks evolve over time and often require insurers to update their underwriting practices and pricing models.

1.4.4 Insurable and Uninsurable Risks

Not every risk can be transferred to an insurer. In general, an **insurable risk** has characteristics that allow its expected losses to be estimated with reasonable accuracy and its financial consequences to be shared among many policyholders.

Examples of insurable risks include damage to motor vehicles, residential property, and commercial buildings, as well as liability arising from accidents.

By contrast, **uninsurable risks** typically lack one or more of these characteristics. They may involve highly uncertain outcomes, affect many policyholders simultaneously, or depend primarily on business or investment decisions rather than accidental events. Examples include fluctuations in stock prices, changes in exchange rates, normal business competition, and reputational damage.

The characteristics of insurable risks will be discussed in greater detail later in this chapter.

> **!** Key Point
>
> The classifications introduced in this section are not independent. For example, most risks covered by general insurance are **pure**, **particular**, and **insurable**. Understanding these classifications helps explain why some risks are readily insured while others must be managed using alternative risk management techniques.

1.5 Characteristics of Normally Insurable Risks

Although many risks exist, not all of them are suitable for insurance. To operate sustainably, insurers must be able to estimate future losses with reasonable accuracy and charge premiums that are both fair and affordable. Consequently, a risk is normally considered **insurable** only if it possesses several desirable characteristics.

The following characteristics are commonly associated with risks that can be insured by private insurers.

1.5.1 Large Number of Homogeneous Exposure Units

Insurance relies on the **law of large numbers**, which states that the average outcome of many similar exposure units becomes more predictable as the number of observations increases.

To estimate future claims accurately, insurers require a large portfolio of policyholders with similar risk characteristics. The larger and more homogeneous the portfolio, the more reliable the estimates of claim frequency and severity.

For example, an insurer can estimate the expected number of motor insurance claims from thousands of similar vehicles more accurately than from only a few vehicles.

1.5.2 Accidental and Unintentional Loss

Insurance is designed to protect against losses that occur **fortuitously**, that is, by chance or accicent from the perspective of the insured.

If policyholders could deliberately cause insured losses, insurance would encourage fraud and become financially unsustainable. Consequently, losses resulting from intentional acts are generally excluded from insurance coverage.

> **!** Accidental Does Not Mean Unexpected
>
> An accidental loss does not necessarily mean that the event is impossible to anticipate. For example, insurers know that some houses will be damaged by fire each year. What is uncertain is **which** house will suffer the loss and **when** it will occur.

1.5.3 Determinable and Measurable Loss

For a claim to be settled fairly, the occurrence and amount of the loss must be objectively verifiable.

This means that insurers should be able to determine

- whether the loss occurred,
- when it occurred,
- what caused the loss, and
- the financial value of the loss.

For example, the repair cost of a damaged vehicle can usually be estimated by an assessor, whereas emotional distress is often much more difficult to measure objectively.

1.5.4 Non-Catastrophic Loss

Insurance works best when losses occur independently across policyholders. If a single event causes losses to a large proportion of insureds simultaneously, the insurer may be unable to meet all claim obligations.

Examples of catastrophic events include major earthquakes, widespread flooding, pandemics, and war.

Modern insurers manage catastrophic risks through geographical diversification, policy limits, and reinsurance. Nevertheless, some catastrophic risks remain difficult or impossible to insure in the private market.

1.5.5 Pure and Particular Risk

As discussed earlier, insurance primarily covers **pure risks**, where the possible outcomes are loss or no loss, rather than gain.

In addition, insured risks are usually **particular risks**, affecting individual policyholders rather than society as a whole. Risks such as house fires, theft, and motor accidents satisfy these characteristics and can therefore be pooled effectively.

By contrast, speculative investments and widespread economic recessions generally do not satisfy these conditions.

1.5.6 Calculable Probability of Loss

An insurer must be able to estimate the probability and expected cost of future losses using historical data, statistical analysis, and actuarial models.

Reliable estimation allows insurers to determine appropriate premiums and maintain adequate reserves for future claims.

When little or no historical data are available, estimating future losses becomes highly uncertain, making insurance difficult or prohibitively expensive.

1.5.7 Financial Loss Requirement

Insurance provides compensation only for **financial losses**. The insured must have an **insurable interest**, meaning that they would suffer a genuine financial loss if the insured event occurred.

For example, a homeowner has an insurable interest in their own house because its destruction would result in financial loss. However, the homeowner generally cannot insure a neighbour's house because they would not suffer a direct financial loss if it were damaged.

1.5.8 Reasonable Premium

Finally, the premium must be affordable relative to the protection provided.

If the expected loss is extremely high or highly uncertain, the premium required may become so expensive that few people are willing to purchase the insurance. In such cases, the risk is technically insurable but may not be commercially viable.

For example, a house located in an area with an exceptionally high probability of flooding may require a premium that exceeds what most homeowners are willing to pay.

Example 1.5 (Assessing Whether a Risk Is Insurable)**.** Consider the following situations.

Risk	Normally Insurable?	Reason
Fire damage to a residential house		Losses are accidental, measurable, and supported by extensive historical data.
Motor vehicle collision		Large numbers of similar exposure units allow reliable estimation of claims.
Loss from investing in company shares		This is a speculative risk with the possibility of gain or loss.
Losses caused by war		A single event may produce catastrophic losses affecting many policyholders simultaneously.
Damage to a neighbour's house		The policyholder has no insurable interest in the property.

This example illustrates that a risk is considered insurable only when it satisfies several characteristics simultaneously, rather than any single criterion alone.

1.5.9 Risks Typically Not Insurable

Some risks do not satisfy the characteristics described above and are therefore not normally covered by general insurers.

Market risk arises from fluctuations in market prices, such as changes in stock prices or commodity prices. **Financial risk** includes changes in interest rates, exchange rates, or credit conditions. **Production risk** refers to uncertainties associated with business operations, including changes in demand, production costs, or technological failures. **Political risk** arises from government actions or political instability, such as changes in legislation, expropriation of assets, or civil unrest.

These risks are generally excluded because they often possess one or more of the following characteristics:

- they are speculative rather than pure risks;
- they may affect many policyholders simultaneously, making diversification difficult;
- reliable historical data may be limited or unavailable;
- losses are difficult to measure objectively; or
- insuring such risks may create undesirable incentives or conflict with public policy.

Not Absolutely Uninsurable

Some risks traditionally regarded as uninsurable can be transferred through specialised insurance products or alternative risk transfer mechanisms. For example, political risk insurance, trade credit insurance, and weather derivatives are available in certain markets, although they typically involve specialised underwriting and pricing.

1.6 What Is Insurance?

Insurance is a financial arrangement in which an insurer agrees to compensate an insured for specified financial losses in exchange for the payment of a premium. By transferring individual risks to an insurer and pooling similar risks across many policyholders, insurance reduces the financial consequences of uncertain future events.

Insurance does not prevent losses from occurring. Instead, it provides financial protection by replacing the possibility of a large and uncertain loss with a relatively small and predictable premium.

Three fundamental principles underpin the operation of insurance: **risk transfer**, **risk pooling**, and **indemnity**.

1.6.1 Risk Transfer

The primary purpose of insurance is **risk transfer**. Individuals and businesses face many risks that could result in substantial financial losses. By purchasing insurance, they transfer the financial consequences of specified risks to an insurer in exchange for a premium.

For example, a homeowner purchases fire insurance to protect against the financial consequences of damage caused by fire. Although the risk of fire remains, the insurer assumes responsibility for compensating covered losses according to the policy terms.

1.6.2 Risk Pooling

Insurance operates by **pooling risks** from many policyholders who are exposed to similar types of risk. Each policyholder contributes a relatively small premium to a common fund. Since only a small proportion of policyholders are expected to experience losses during any policy period, the accumulated premiums are sufficient to compensate those who suffer covered losses.

Risk pooling enables uncertain and potentially large individual losses to be shared across many participants. The effectiveness of this mechanism depends on having a sufficiently large number of similar exposure units, allowing insurers to estimate future losses with reasonable accuracy.

Why Does Risk Pooling Work?

Insurance does not require every policyholder to experience a loss. Instead, premiums collected from the many who do **not** suffer losses are used to compensate the relatively few who do.

This principle enables insurers to spread financial losses across a large group of policyholders.

1.6.3 Indemnity

Most general insurance contracts are based on the **principle of indemnity**. The objective is to restore the insured, as nearly as possible, to the same financial position they occupied immediately before the loss.

Consequently, insurance is intended to compensate for financial loss rather than provide an opportunity for profit. If a vehicle worth THB 600,000 is completely destroyed in an accident, the insurer compensates the insured for the financial value of the loss, subject to the policy terms and conditions. The insured should not receive compensation exceeding the actual loss.

Certain types of insurance, such as life insurance and personal accident insurance, are **not** contracts of indemnity because the amount payable is specified in advance rather than determined by the actual financial loss.

! Insurance Does Not Eliminate Risk

Insurance transfers the **financial consequences** of specified losses; it does not eliminate the underlying risk itself. For example, purchasing fire insurance does not reduce the probability that a fire will occur. Instead, it protects the insured against the financial impact of a covered fire loss.

Example 1.6 (Insurance in Practice)**.** Suppose a homeowner purchases fire insurance for a house valued at THB 5 million.

If no fire occurs during the policy period, the homeowner receives no claim payment but benefits from financial protection throughout the year.

If a covered fire damages the house, the insurer compensates the homeowner according to the policy terms. The financial burden of the loss is therefore transferred from the homeowner to the insurer, while the cost of providing this protection is shared among many policyholders through risk pooling.

1.6.4 Summary

Insurance can be viewed as a system based on three interconnected principles:

Principle	Role in Insurance
Risk transfer	Transfers the financial consequences of specified losses from the insured to the insurer.
Risk pooling	Spreads the cost of losses among many policyholders through the collection of premiums.
Indemnity	Restores the insured to approximately the same financial position occupied before the loss.

This understanding provides the foundation for the next section, which explains how these principles are implemented through the insurance mechanism.

1.7 Insurance Mechanism

Insurance functions as a **risk-sharing mechanism** that enables individuals and businesses to protect themselves against uncertain financial losses. Instead of each person bearing the full cost of a potential loss, many policyholders contribute premiums to a common fund. Those who experience covered losses are then compensated from this fund.

This mechanism allows policyholders to replace an uncertain and potentially large financial loss with a relatively small and predictable premium.

The insurance mechanism operates through four basic steps.

1.7.1 Step 1: Risk Assessment

Before issuing an insurance policy, the insurer evaluates the risk presented by the applicant. This process, known as **underwriting**, considers factors that affect the likelihood and severity of future losses, such as the type of property being insured, its location, and the applicant's claims history.

Based on this assessment, the insurer determines whether to accept the risk and calculates an appropriate premium.

1.7.2 Step 2: Premium Collection

Policyholders who face similar risks pay premiums to the insurer. These premiums are pooled to form a common insurance fund that is used to pay future claims.

Although individual policyholders may pay different premiums according to their level of risk, all premiums contribute to the same risk-sharing mechanism.

1.7.3 Step 3: Loss Occurrence and Claim Settlement

During the policy period, some policyholders experience covered losses while others do not. When a covered loss occurs, the insured submits a claim to the insurer.

The insurer investigates the claim to verify that

- the loss is covered by the policy,
- the amount of the loss can be determined, and
- the claim satisfies the policy terms and conditions.

If the claim is valid, the insurer compensates the insured according to the policy provisions.

1.7.4 Step 4: Risk Sharing

Because only a relatively small proportion of policyholders experience losses during any policy period, the premiums collected from all policyholders are generally sufficient to compensate those who suffer covered losses.

This sharing of losses among many policyholders is the fundamental principle that makes insurance economically feasible.

> **Why Insurance Requires Many Policyholders**
>
> Insurance relies on the fact that losses occur randomly and independently across a large number of similar exposure units. If every policyholder suffered a loss at the same time, the insurer would be unable to spread the financial burden effectively.

1.7.5 The Insurance Mechanism

The operation of insurance can be summarized as follows.



The mechanism of risk pooling in insurance.

Figure 1.2

Although all policyholders contribute premiums, only those who experience covered losses receive compensation. In effect, the losses of the few are financed by the premiums collected from the many.

Example 1.7 (How the Insurance Mechanism Works)**.** Suppose an insurer provides fire insurance to **10,000 homeowners**.

Each homeowner pays an annual premium of **THB 4,000**, creating a total premium fund of **THB 40 million**.

During the year, only **80 homeowners** experience covered fire losses. After investigating the claims, the insurer compensates these policyholders from the premium fund.

Although most policyholders do not make claims, they benefit from knowing that financial protection is available should a covered loss occur. By pooling risks across many homeowners, the insurer is able to compensate the relatively few who suffer losses while charging each policyholder only a small fraction of the potential loss.

> **Insurance Is Based on Probability, Not Certainty**
>
> Insurers cannot predict which individual policyholders will experience losses. Instead, they estimate the **expected number** and **expected cost** of claims for a large group of similar policyholders using statistical and actuarial methods.

This reliance on probability is one of the fundamental differences between insurance and savings.

1.7.6 Connection to Actuarial Science

The insurance mechanism depends on accurate estimation of future claims. Actuaries use probability, statistics, and historical claims data to estimate claim frequency and severity, determine premiums, and ensure that insurers maintain sufficient funds to meet future claim obligations.

1.8 Insurance Contracts

An insurance policy is a legally enforceable contract between the insurer and the insured. The contract specifies the risks covered, the amount of insurance, the premium payable, the rights and obligations of each party, and the circumstances under which claims will be paid.

Under Section 862 of the Thai Civil and Commercial Code, an insurance contract may involve three parties.

1.8.1 The Insured

The **insured** is the person whose financial interest is protected by the insurance contract. The insured is responsible for paying premiums and disclosing material facts that may affect the insurer's assessment of the risk.

1.8.2 The Insurer

The **insurer** accepts the transferred risk and agrees to compensate the insured for covered losses in accordance with the policy terms. In Thailand, an insurer must be a public limited company licensed to conduct insurance business under the relevant legislation.

1.8.3 The Beneficiary

The **beneficiary** is the person entitled to receive policy proceeds. Depending on the type of insurance, the beneficiary may be

- the insured,
- another person designated in the policy, or
- a third party legally entitled to compensation.

Example 1.8 (Parties to an Insurance Contract)**.** A homeowner purchases fire insurance on a house financed by a bank.

- The homeowner is the **insured**.
- The insurance company is the **insurer**.

- If the house is mortgaged, the bank may be named as the **beneficiary** (or loss payee) to protect its financial interest.

1.9 Benefits of Insurance

Insurance provides benefits that extend beyond individual policyholders. By reducing financial uncertainty, it contributes to economic stability and supports business development.

For **individuals and households**, insurance provides financial protection against unexpected losses and promotes peace of mind. Instead of facing potentially devastating financial consequences, policyholders exchange uncertain losses for predictable premium payments.

For **businesses**, insurance protects assets, supports business continuity, and enables firms to undertake productive activities that might otherwise involve unacceptable levels of financial risk.

For **society and the economy**, insurance facilitates investment, encourages entrepreneurship, promotes long-term savings through certain life insurance products, and assists communities in recovering more quickly after major disasters.

Insurance Supports Economic Growth

Insurance does more than compensate individual losses. By reducing uncertainty, it encourages households and businesses to invest, borrow, and undertake economic activities that contribute to overall economic development.

1.10 Insurance in Thailand

1.10.1 Overview of the Thai Insurance Industry

The insurance industry plays an important role in Thailand's financial system by providing financial protection to individuals, businesses, and public organizations against uncertain losses. Through risk pooling and risk transfer, insurers help reduce the financial impact of accidents, property damage, illness, disability, and death.

In Thailand, insurance is governed by the **Civil and Commercial Code**, which recognizes two main categories of insurance contracts:

- **Life insurance**, and
- **Non-life insurance**.

These two sectors operate under separate legislation and are supervised by the **Office of Insurance Commission (OIC)**.

1.10.2 Types of Insurance

Thai insurance is broadly classified into **life insurance** and **non-life insurance**, reflecting the nature of the risks being insured and the contractual benefits provided.

1.10.2.1 Life Insurance

Life insurance provides financial protection against risks associated with human life. The payment of benefits depends on the survival or death of the insured person, as specified in the insurance contract.

The term **life insurance** is widely used in the United States and many other countries. Historically, the United Kingdom used the term **life assurance**, reflecting the certainty that death will eventually occur. Today, however, the term *life insurance* has become the more widely accepted international terminology.

Common examples of life insurance products include

- term life insurance,
- whole life insurance,
- endowment insurance, and
- annuity contracts.

1.10.2.2 Non-Life Insurance

Non-life insurance includes all forms of insurance other than life insurance. It protects policyholders against financial losses arising from damage to property, legal liability, or other specified risks.

Different countries use different terminology for this sector.

Term	Commonly Used In
Non-life insurance	Thailand and many Asian countries
General insurance	United Kingdom and Commonwealth countries
Property and casualty (P&C) insurance	United States and Japan

Examples of non-life insurance include

- motor insurance,
- fire insurance,
- marine insurance,
- engineering insurance,
- travel insurance, and
- liability insurance.

> **Different Names, Similar Concepts**
>
> Although the terms *non-life insurance*, *general insurance*, and *property and casualty insurance* differ across countries, they all refer broadly to insurance that is **not** life insurance. The scope of coverage may vary slightly among jurisdictions, but the underlying concept is the same.

1.10.3 Characteristics of Life Insurance

Life insurance differs from non-life insurance because the insured event is linked to the life of an individual rather than to damage or loss of property.

Some important characteristics of life insurance are:

- Benefits are payable upon the death or survival of the insured, depending on the policy.
- Policies are generally long-term contracts that may remain in force for many years.
- Premiums are determined using mortality assumptions together with interest rates and expense provisions.
- Many policies accumulate a cash value or provide savings and investment features.
- The policy benefit is specified in advance and is generally **not** based on the actual financial loss suffered.

Because the amount payable is predetermined, life insurance is generally **not** a contract of indemnity.

Example 1.9 (Example of a Life Insurance Policy)**.** A person purchases a 20-year term life insurance policy with a sum insured of THB 2 million.

If the insured dies during the policy term, the insurer pays THB 2 million to the designated beneficiary. If the insured survives beyond the policy term, no death benefit is payable unless otherwise specified by the policy.

1.10.4 Characteristics of Non-Life Insurance

Non-life insurance protects against accidental losses affecting property, liability, or other financial interests. Unlike life insurance, these contracts are generally short-term and are renewed periodically.

Typical characteristics include:

- Coverage applies only to specified accidental losses.
- Policies are usually written for one year and renewed if continued protection is required.
- Most contracts follow the **principle of indemnity**, compensating the insured for the actual financial loss up to the policy limits.
- Premiums are determined primarily from expected claim frequency and claim severity.

Since losses depend on uncertain events such as accidents, fires, or thefts, claims are paid only when a covered loss occurs.

Example 1.10 (Example of Non-Life Insurance)**.** A motor insurance policy provides coverage for accidental damage to a vehicle during a one-year policy period.

If the insured vehicle is damaged in a covered collision, the insurer compensates the policyholder for the repair cost, subject to the policy conditions, deductible, and policy limit.

1.10.5 Common Terminology in Life Insurance

Several terms are commonly used in life insurance and differ slightly from those used in non-life insurance.

Term	Meaning
Insured	The person whose life is covered by the policy.
Policyholder	The person who owns the insurance policy and is responsible for paying premiums.
Beneficiary	The person designated to receive the policy proceeds upon the insured's death.
Sum insured (sum assured)	The amount payable under the policy upon the occurrence of the insured event.
Premium	The amount paid to obtain insurance coverage.
Policy term	The period during which the insurance contract remains in force.

> **Insured and Policyholder Are Not Always the Same Person**
>
> In many life insurance contracts, the **policyholder** and the **insured** are the same person. However, they may differ. For example, a parent may purchase a life insurance policy on the life of a child, making the parent the policyholder and the child the insured.

1.10.6 Insurance Regulation in Thailand

Insurance companies operating in Thailand are supervised by the **Office of Insurance Commission (OIC)**, the national regulatory authority responsible for overseeing both life and non-life insurance businesses.

The OIC's primary responsibilities include

- licensing insurance companies,
- protecting the interests of policyholders,
- supervising insurers' financial soundness,
- promoting fair market conduct, and
- supporting the stable development of the insurance industry.

Life insurance and non-life insurance businesses are governed under separate legislation.

Insurance Business	Governing Law
Life insurance	*Life Insurance Act B.E. 2535 (1992)* and subsequent amendments
Non-life insurance	*Non-Life Insurance Act B.E. 2535 (1992)* and subsequent amendments

These laws establish the legal framework for licensing, corporate governance, capital requirements, and the conduct of insurance business in Thailand.

! Role of the Office of Insurance Commission (OIC)

The Office of Insurance Commission (OIC) is the primary regulator of Thailand's insurance industry. Its objective is to promote a stable, transparent, and trustworthy insurance market while protecting the interests of policyholders.

1.11 Mathematical Foundations of Insurance

Insurance relies on mathematical principles to estimate future losses and determine appropriate premiums. Although insurers cannot predict whether an individual policyholder will experience a loss, they can estimate the expected losses of a large group of similar policyholders using probability and statistical methods.

Three fundamental concepts underpin insurance operations:

- probability,
- the law of averages, and
- the law of large numbers.

Together, these concepts enable insurers to assess risks, calculate premiums, and maintain sufficient funds to pay future claims.

1.11.1 Probability

Probability measures the likelihood that an event will occur. It is expressed as a number between 0 and 1, where

- a probability of **0** indicates that the event cannot occur,
- a probability of **1** indicates that the event is certain to occur, and
- values between 0 and 1 represent varying degrees of likelihood.

In insurance, probability is used to estimate the likelihood of insured events such as fires, motor accidents, thefts, or deaths. These probabilities form the basis for estimating expected future claims.

For example, suppose historical data indicate that approximately **10 out of every 1,000 insured vehicles** are declared total losses each year. The estimated probability that an individual vehicle will suffer a total loss during the year is

$$\frac{10}{1000} = 0.01,$$

or **1%**.

This probability helps insurers estimate the expected number of claims within a portfolio and contributes to the calculation of insurance premiums.

Probability Describes Groups, Not Individuals

A probability of 1% does **not** mean that every insured vehicle has exactly a 1% chance of being involved in an accident in a particular year. Instead, it means that among many similar vehicles, approximately 1% are expected to experience the insured event.

1.11.2 Law of Averages

The **law of averages** is the principle that losses can be shared among many policyholders through **risk pooling**. Each policyholder contributes a relatively small premium to a common fund, from which the losses of the few who experience insured events are compensated.

Because individual losses are shared across many policyholders, insurance transforms uncertain and potentially large losses into relatively small and predictable premium payments.

In general, increasing the number of policyholders allows the cost of losses to be spread more widely. As administrative expenses and other factors are shared across a larger portfolio, the average cost borne by each policyholder may decrease.

Example 1.11 (Risk Pooling Through the Law of Averages)**.** Suppose that 100 homeowners purchase identical fire insurance policies.

During the year, only two houses are damaged by fire. Rather than requiring the two affected homeowners to bear the entire financial burden, all 100 policyholders contribute premiums that collectively cover the losses.

The financial burden of the losses is therefore shared among the entire group, illustrating the principle of risk pooling.

1.11.3 Law of Large Numbers

The **law of large numbers** states that as the number of similar exposure units increases, the observed average loss tends to approach the expected average loss.

This principle allows insurers to estimate future claims more accurately by analysing large portfolios of similar risks. While the occurrence of losses for an individual policyholder remains uncertain, the total number of losses across thousands of policyholders becomes increasingly predictable.

The law of large numbers is one of the most important mathematical foundations of insurance because it reduces the uncertainty associated with future claims.

Example 1.12 (Predicting Fire Losses)**.** Suppose an insurer covers **10,000 similar houses** against fire.

Although it is impossible to predict which individual houses will experience a fire during the coming year, historical data may indicate that approximately **25 houses** are expected to suffer fire damage.

Because the insurer has a large portfolio of similar risks, the actual number of claims is likely to be close to the expected number. This enables the insurer to estimate future claim costs and determine appropriate premium rates.

! The Law of Averages and the Law of Large Numbers Are Different

The **law of averages** explains **how losses are shared** among policyholders through risk pooling.
The **law of large numbers** explains **why insurers can estimate future losses more accurately** when many similar risks are insured.
Although closely related, the two principles serve different purposes in insurance.

1.11.4 Applications in Insurance

The mathematical principles discussed above play complementary roles in insurance operations.

Probability enables insurers to estimate the likelihood of insured events and the expected cost of future claims.

The **law of averages** provides the foundation for risk pooling, allowing the financial consequences of individual losses to be shared among many policyholders through premium contributions.

The **law of large numbers** improves the accuracy of these estimates by ensuring that actual claim experience becomes more stable as the number of similar exposure units increases.

Together, these principles support many actuarial and insurance activities, including

- underwriting and risk assessment,
- premium determination,
- reserving for future claims,
- reinsurance decisions, and
- capital management.

Why These Concepts Matter

Insurance companies cannot predict **who** will experience a loss, but they can estimate **how many** losses are likely to occur within a large portfolio. This ability allows insurers to charge fair premiums while maintaining sufficient funds to meet future claim obligations.

1.11.5 Summary

The three mathematical foundations of insurance are closely related but serve different purposes.

Concept	Main Purpose	Application in Insurance
Probability	Measures the likelihood of future events.	Estimates claim frequency and expected losses.
Law of averages	Spreads losses across many policyholders.	Forms the basis of risk pooling and premium sharing.
Law of large numbers	Improves the accuracy of loss predictions for large portfolios.	Enables reliable pricing, reserving, and financial planning.

This section naturally leads to the next topic, **Insurance Premium Determination**, where these mathematical principles are used to estimate expected losses and calculate premiums.

1.12 Insurance Premium Determination

An insurance premium is the amount paid by a policyholder in exchange for insurance protection. Determining an appropriate premium is one of the insurer's most important responsibilities. A premium that is too low may leave the insurer unable to pay future claims, whereas a premium that is too high may discourage customers from purchasing insurance.

To achieve a sustainable insurance system, insurers seek premiums that are **adequate**, **equitable**, and **reasonable**.

1.12.1 Principles of Premium Determination

1.12.1.1 Adequacy

A premium should be **adequate** to ensure that the insurer can meet its financial obligations. In particular, the premium should be sufficient to

- pay future claims,
- cover operating and administrative expenses,
- maintain an appropriate financial reserve for unexpected losses, and
- provide a reasonable return to the insurer.

If premiums are consistently inadequate, the insurer may experience financial difficulties and be unable to satisfy future claims.

1.12.1.2 Equity (Fairness)

A premium should be **equitable**, meaning that it reflects the level of risk presented by each policyholder. Individuals or businesses with higher expected losses should generally pay higher premiums, while those with lower expected losses should pay less.

This principle is sometimes referred to as **fair discrimination**, because premiums are differentiated according to measurable differences in risk rather than arbitrary factors.

For example, a building constructed with fire-resistant materials may qualify for a lower fire insurance premium than an otherwise similar building with a substantially higher fire risk.

1.12.1.3 Reasonableness

A premium should also be **reasonable** from the policyholder's perspective. Although premiums must cover the insurer's expected costs, they should not be so high that insurance becomes unaffordable or uncompetitive.

In a competitive insurance market, insurers must balance financial sustainability with affordability in order to attract and retain policyholders.

> **!** Balancing the Three Principles
>
> The three principles of premium determination must be considered together.
>
> - A premium that is **too low** may be fair to customers in the short term but financially unsustainable for the insurer.
> - A premium that is **too high** may be financially adequate but discourage customers from purchasing insurance.
> - A well-designed premium achieves an appropriate balance between adequacy, equity, and reasonableness.

1.12.2 Components of an Insurance Premium

The premium charged by an insurer consists of more than the expected cost of future claims. It also includes the expenses of operating the insurance business and a margin for uncertainty and profit.

Conceptually, the premium may be expressed as

$$\boxed{P = F \times S + E + C,}$$

where

- P = insurance premium,
- F = expected claim frequency,
- S = expected claim severity,
- E = operating expenses, and
- C = contingency provision and profit loading.

Although actual premium calculations are often more sophisticated, this expression illustrates the fundamental components of an insurance premium.

1.12.2.1 Expected Losses

The largest component of the premium is the **expected loss**, which represents the insurer's estimate of future claim payments.

Expected losses depend on two quantities:

- **frequency**, which measures how often claims are expected to occur, and

- **severity**, which measures the average cost of each claim.

Their product,

$$F \times S,$$

represents the **expected claim cost** for each insured exposure.

For example, if the expected claim frequency is 2% per year and the average claim amount is THB 100,000, the expected loss per policy is

$$0.02 \times 100,000 = \text{THB } 2,000.$$

1.12.2.2 Operating Expenses

Insurers incur various expenses in providing insurance services. These include

- underwriting expenses,
- policy administration,
- claim handling,
- commissions paid to agents or brokers,
- information technology and office operations, and
- reinsurance costs.

These expenses must be recovered through premiums to ensure the insurer can continue operating effectively.

1.12.2.3 Contingency Provision and Profit

Future losses are inherently uncertain. Even when expected losses are estimated carefully, actual claim experience may differ from expectations.

To protect against this uncertainty, insurers include a **contingency provision** in the premium. This provision provides financial protection against

- random fluctuations in claims,
- estimation errors,
- inflation in claim costs, and
- unexpected catastrophic events.

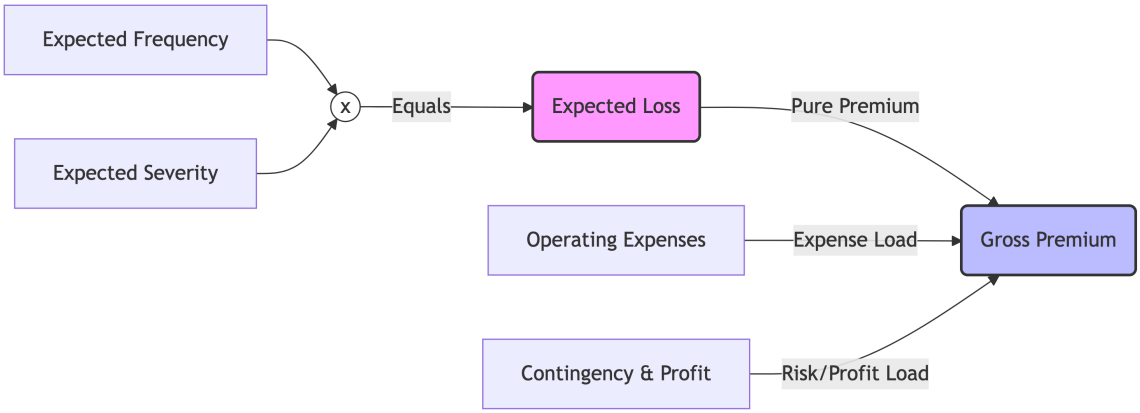
The premium also includes a **profit loading**, which compensates shareholders for providing capital and accepting the financial risks associated with the insurance business.

> **i** Why Is a Contingency Provision Needed?
>
> Historical data provide only estimates of future losses. Actual claims may be higher than expected because of unusually severe weather, economic changes, or random fluctuations. A contingency provision strengthens the insurer's financial resilience and helps ensure that

future claims can still be paid.

1.12.3 Putting the Components Together

The following diagram illustrates the conceptual structure of an insurance premium.



The mathematical components of an insurance premium.

Figure 1.3

The premium therefore consists of three broad components:

Component	Purpose
Expected losses	Pays future claims.
Operating expenses	Covers the cost of conducting insurance business.
Contingency provision and profit	Provides financial resilience and an appropriate return on capital.

Example 1.13 (Components of an Insurance Premium)**.** Suppose an insurer estimates the following values for a motor insurance policy.

Component	Amount (THB)
Expected claim frequency	2%
Expected claim severity	100,000
Expected losses ($F \times S$)	2,000
Operating expenses	600
Contingency provision and profit	400

The premium is therefore estimated as

$$P = 2,000 + 600 + 400 = \text{THB } 3,000.$$

This example illustrates that only part of the premium is used to pay claims. The remainder supports the operation and financial stability of the insurer.

> **Looking Ahead**
>
> In this chapter, the premium formula is presented as a **conceptual framework** for understanding the main components of an insurance premium. In later chapters, we will develop more rigorous actuarial methods for estimating expected losses and determining premiums using statistical models and insurance rating techniques.

2 Chapter 2: Introduction to Data Science

Learning Outcomes

By the end of this chapter, students should be able to:

1. Explain the role of data science in supporting insurance and actuarial decision-making.
2. Describe the relationship between data, statistics, computing, and domain knowledge in data science.
3. Identify common sources and types of data used in insurance.
4. Describe the main stages of the data science life cycle and explain how they relate to insurance problems.
5. Distinguish the roles of data analysts, data scientists, data engineers, and actuaries in a data science project.
6. Identify applications of data science in insurance, including pricing, underwriting, claims management, fraud detection, customer analytics, and risk management.
7. Explain how data-driven evidence is combined with actuarial judgement to support insurance decisions.

2.1 From Insurance to Data Science

Insurance is fundamentally concerned with making decisions under uncertainty. As discussed in Chapter 1, insurers pool risks, use information about past experience to assess future losses, and determine premiums that are appropriate for the risks being insured. These activities require more than an understanding of insurance principles and probability. They also require reliable data and systematic methods for analysing it.

For example, a motor insurer may want to determine whether claim frequency differs according to age, geographical area, vehicle characteristics, or other characteristics of policyholders. The insurer must obtain appropriate data, assess its quality, identify relevant patterns, and use suitable statistical methods to support the decision. These activities are part of the broader field of data science.

2.1.1 Data-Driven Insurance Decisions

An insurance decision is data-driven when information from relevant data is used systematically to support the decision. Data do not replace actuarial judgement; rather, they provide evidence that can be combined with statistical methods, insurance knowledge, and professional judgement.

Data are used throughout the insurance process. For example, insurers may use data to:

- assess and classify risks during underwriting;
- estimate claim frequency and claim severity;
- determine appropriate premiums;
- monitor claims and identify unusual patterns;
- evaluate the experience of an insurance portfolio; and
- support decisions about risk management and business strategy.

Consider a motor insurance portfolio. Suppose an insurer observes that policyholders in different age groups have different claim frequencies. The insurer can examine the observed experience, investigate whether the difference is supported by sufficient data, and determine whether age should be considered when assessing risk.

The process can be viewed as:

$$\text{Insurance problem} \rightarrow \text{Data} \rightarrow \text{Analysis} \rightarrow \text{Evidence} \rightarrow \text{Decision}.$$

The purpose of data science is therefore not simply to produce calculations or visualisations. Its purpose is to help transform data into useful information and evidence for decision-making.

> **Data do not speak for themselves**
>
> Observed patterns in insurance data must be interpreted in their context. A difference between two groups does not necessarily imply that the corresponding risk factor causes the difference. Data quality, exposure, other risk factors, and the method of analysis must also be considered.

2.1.2 From Risk to Data

Chapter 1 introduced risk as uncertainty concerning future outcomes and showed how insurance uses probability and pooling to manage this uncertainty. In practice, however, the probabilities and expected losses used by insurers are not known with certainty. They must be estimated from observations.

Suppose an insurer wants to estimate the expected number of claims for a portfolio. Historical observations may contain the number of claims and the corresponding exposure for each policy. A simple estimate of claim frequency is

$$\hat{\lambda} = \frac{\text{Number of claims}}{\text{Exposure}}.$$

This simple calculation illustrates an important transition from the concepts of Chapter 1 to the methods introduced in this chapter. The concept of risk is theoretical, but its measurement requires data.

The same principle applies to claim severity. If observed claims have amounts $X_1, \ldots, X_n$, their average provides a basic estimate of the average claim amount:

$$\hat{\mu} = \frac{1}{n} \sum_{i=1}^{n} X_i.$$

In practice, insurers work with much richer data. A policy record may contain information about the policyholder, the insured object, geographical area, coverage, exposure period, and claims. These data can be used to investigate how insurance outcomes vary across different characteristics.

Thus, the relationship between risk and data can be represented as

$$\boxed{\text{Risk} \rightarrow \text{Observable outcomes} \rightarrow \text{Data} \rightarrow \text{Statistical analysis} \rightarrow \text{Risk assessment}}.$$

Data science provides a systematic framework for the stages involving data collection, preparation, exploration, analysis, modelling, and communication.

! Exposure matters in insurance data

Insurance experience cannot always be compared using raw counts alone. A portfolio with more policies or a longer period of exposure will generally produce more claims simply because it contains more opportunity for claims to occur. Measures such as claim frequency therefore relate observed claims to an appropriate measure of exposure.

2.1.3 Why Data Science Matters to Actuaries

Actuaries have traditionally used mathematics, probability, statistics, and financial theory to analyse uncertainty and make decisions about risk. Data science extends these capabilities by providing a broader framework for working with data throughout the analytical process.

For actuaries, data science is particularly relevant because modern insurance problems often involve large and complex datasets. An actuary may need to combine information from different sources, identify data-quality problems, explore relationships between variables, develop statistical models, and communicate the results to decision-makers.

The role of the actuary is not simply to apply an algorithm to a dataset. Actuarial knowledge is needed to formulate an appropriate problem, select meaningful variables, recognise relevant exposure measures, assess whether modelling assumptions are reasonable, and interpret the results in the context of insurance.

For example, a statistical model may indicate that claim frequency varies between two groups of policyholders. An actuary must consider whether the difference is credible, whether other risk factors may explain the observed relationship, whether the available exposure is sufficient, and whether the result is appropriate for the intended insurance decision.

This illustrates the complementary roles of data science and actuarial science:

Data science	Actuarial science
Collects and prepares data	Understands the insurance problem
Explores and visualises data	Interprets risk and uncertainty
Develops statistical and predictive models	Assesses actuarial assumptions and implications
Communicates analytical results	Applies professional judgement to decisions

Data science should therefore be viewed as an important part of the modern actuarial toolkit. The objective is not to replace actuarial reasoning with data or algorithms, but to combine **data, statistical methods, computational tools, and actuarial judgement** to make better-informed decisions.

This chapter develops the foundations for that process. It begins with the nature of data and the data science life cycle, before introducing methods for acquiring, preparing, exploring, modelling, and communicating data.

2.2 What Is Data Science?

Data science is concerned with extracting useful information and knowledge from data to support understanding, prediction, and decision-making. It combines statistical methods, computational tools, and knowledge of the subject area in which the data arise.

There is no single method that defines data science. Different problems require different combinations of data management, statistical analysis, programming, visualisation, and modelling. The common element is the systematic use of data to answer meaningful questions.

For an insurer, for example, data science may be used to investigate questions such as:

- How does claim frequency vary across different groups of policyholders?
- Which characteristics are associated with larger claims?
- Can future claims be predicted from available information?
- Are there unusual patterns in claims that require further investigation?

These questions require more than simply calculating statistics. They require an understanding of the insurance problem, appropriate data, suitable analytical methods, and computational tools.

2.2.1 Data, Statistics, Computing and Domain Knowledge

Data science brings together four closely related components: **data, statistics, computing, and domain knowledge**.

Data provide the observations from which information can be obtained. In insurance, data may include policy characteristics, exposure, claims, claim amounts, premiums, and other information relevant to risk.

Statistics provides methods for describing data, identifying patterns, quantifying uncertainty, and drawing conclusions from observations. For example, an insurer may use statistical methods to estimate claim frequency or compare the experience of different groups.

Computing provides the tools needed to store, manipulate, analyse, and visualise data. Modern datasets may contain thousands or millions of observations, making computational tools essential for carrying out analyses efficiently and reproducibly.

Domain knowledge provides an understanding of the context in which the data arise. For an actuary, this includes knowledge of insurance products, risk, exposure, claims, premiums, and the business decisions that the analysis is intended to support.

These components are complementary:

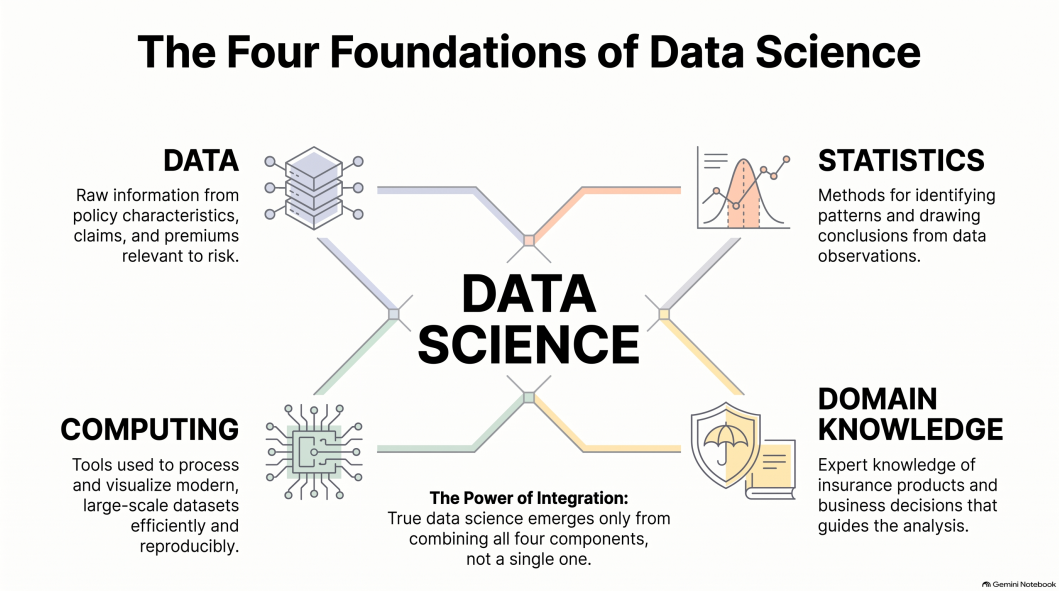


Figure 2.1: The Four Foundations of Data Science

The combination is important because weakness in any one component can affect the quality of the analysis. A sophisticated statistical model cannot compensate for poor-quality data, and a technically correct analysis may still lead to an inappropriate conclusion if the insurance context is misunderstood.

For example, suppose an insurer observes that one group of policyholders has a higher claim frequency than another. Statistics can quantify the difference, computing can process the underlying data, and domain knowledge can help determine whether the comparison is meaningful. The analysis may also need to account for exposure and other characteristics that differ between the groups.

> **!** Data science is more than programming
>
> Programming is an important tool in data science, but data science is not simply programming with data. A successful analysis requires an appropriate question, reliable data, suitable statistical methods, and an understanding of the context in which the results will be used.

The four components can therefore be viewed as complementary skills rather than separate stages:

Component	Main purpose	Example in insurance
Data	Provide observations	Policy and claims records
Statistics	Quantify and analyse patterns	Estimate claim frequency
Computing	Process and analyse data efficiently	Use R to manipulate and model data
Domain knowledge	Interpret results in context	Understand exposure and insurance risk

For an actuarial student, this framework is particularly useful. Actuarial training already provides a strong foundation in statistics, probability, and insurance knowledge. Data science adds computational and analytical practices that allow these foundations to be applied effectively to increasingly complex datasets.

2.2.2 Data Science and Decision-Making

The ultimate purpose of data science is not to produce data, tables, graphs, or models for their own sake. Its purpose is to provide evidence that can improve decisions.

A useful way to view the process is:

$$\text{Question} \rightarrow \text{Data} \rightarrow \text{Analysis} \rightarrow \text{Evidence} \rightarrow \text{Decision}.$$

Consider an insurer deciding whether a particular characteristic should be used in pricing. The analysis might begin with historical policy and claims data. The data are then prepared and explored, and an appropriate statistical model may be developed. The results provide evidence about the relationship between the characteristic and insurance outcomes. The insurer can then consider whether that evidence is sufficient and appropriate for a pricing decision.

The quality of the final decision depends on more than the predictive performance of a model. The analyst must also consider the quality and relevance of the data, the assumptions underlying the analysis, uncertainty in the results, and the consequences of using those results.

This is particularly important in insurance because decisions can affect both the insurer and its policyholders. For example, a pricing model may identify differences in expected claim costs between groups. An actuarial assessment must consider whether those differences are credible, whether the data support the conclusion, and whether the resulting rating structure is appropriate for the insurance product.

Data science therefore supports, rather than replaces, professional judgement. The role of the actuary is to connect analytical evidence with insurance principles and business decisions.

> **i** From analysis to action
>
> A useful data-science result should answer three questions:
>
> 1. **What did the data show?**
> 2. **How reliable is the evidence?**
> 3. **What decision, if any, should follow from it?**

> Keeping these questions in mind helps distinguish useful analysis from analysis that merely produces numerical results.

The distinction between **analysis** and **decision-making** will remain important throughout this book. Data science provides methods for obtaining evidence from data; actuarial science provides the risk, financial, and professional context needed to interpret that evidence and use it responsibly.

2.3 The Role of Data in Insurance

Data provide the empirical foundation for many insurance activities. Insurers collect and maintain information about policies, policyholders, exposures, premiums, claims, and payments. These data allow insurers to measure past experience, assess current risks, and support decisions about underwriting, pricing, claims management, and risk management.

The usefulness of insurance data depends on more than the amount of information available. Data must be relevant to the problem, recorded consistently, and sufficiently complete and accurate for the intended analysis. In addition, insurance data often need to be interpreted in relation to exposure and the characteristics of the insurance portfolio.

For example, the number of claims alone provides limited information about claim risk. A portfolio with 1,000 claims may have a higher risk than a portfolio with 500 claims, but it may simply have a much larger amount of exposure. Comparing claim frequency rather than claim counts can provide a more meaningful basis for comparison.

2.3.1 Insurance Data Sources

Insurance data come from many sources. Some are generated directly through the insurer's operations, while others may be obtained from external sources.

Common internal sources include:

- **Policy data** — information about policies, such as policy type, coverage, inception and expiry dates, insured characteristics, and premium.
- **Exposure data** — information describing the amount of time or risk exposure associated with a policy.
- **Claims data** — information about reported claims, including claim dates, claim types, claim status, and claim amounts.
- **Payment data** — information about premiums received, claim payments, expenses, and other financial transactions.
- **Customer data** — information used to understand policyholder characteristics and interactions with the insurer.

External sources may provide additional information relevant to risk assessment. Examples include geographical information, demographic information, weather data, economic indicators, and other publicly or commercially available data.

These sources may be stored separately. For example, policy information and claims information may be maintained in different systems and linked using a policy identifier. Combining these sources is often an important part of an insurance data-science project.

A simple representation is:

$$\text{Policy data} + \text{Exposure data} + \text{Claims data} \longrightarrow \text{Insurance analysis}.$$

The appropriate data sources depend on the question being investigated. A pricing analysis may require policy, exposure, claim, and premium information, whereas a claims-management analysis may focus more heavily on claim and payment records.

> **Start with the question**
>
> The objective of data collection is not to collect as much data as possible. The data should be relevant to the question being investigated and measured in a way that supports the intended analysis.

2.3.2 Types of Data

Insurance datasets contain variables with different characteristics. Recognising the type of each variable is important because the type determines how the variable can be summarised, visualised, and analysed.

One useful distinction is between **categorical** and **numerical** data.

Categorical data describe membership in a group or category. Examples include:

- type of insurance;
- geographical area;
- vehicle type;
- policy status; and
- claim type.

A categorical variable may have a small number of possible categories. For example, a policy may be classified as `Urban` or `Rural`.

Numerical data represent quantities for which arithmetic operations are meaningful. Examples include:

- age;
- exposure;
- premium;
- number of claims; and
- claim amount.

Numerical variables can be further distinguished as **discrete** or **continuous**.

A discrete variable takes values that can be counted. The number of claims, for example, is a discrete variable:

$$N \in 0, 1, 2, ...$$

A continuous variable can take values within an interval. Claim amount and exposure are examples, depending on how they are measured and recorded.

Another useful distinction is between **structured** and **unstructured** data. Structured data are organised in a predefined format, such as rows and columns in a database. Traditional policy and claims records are usually structured data. Unstructured data do not follow such a predefined tabular structure and may include documents, images, audio, or text.

For introductory actuarial analysis, structured data are particularly important because many insurance models are developed from datasets in which each row represents an observation and each column represents a variable.

Variable	Example	Type
Age	35	Numerical, continuous/discrete depending on recording
Area	Urban	Categorical
Exposure	0.75	Numerical, continuous
Number of claims	2	Numerical, discrete
Claim amount	18,500	Numerical, continuous
Policy status	Active	Categorical

The classification of a variable is not merely a technical label. It affects the methods used to analyse the variable. For example, the distribution of a numerical variable may be examined using a histogram, whereas the frequencies of categories may be displayed using a bar chart.

> **!** A variable's role depends on the analysis
>
> The same variable can serve different roles in different analyses. For example, claim amount may be an outcome variable when modelling claim severity, but it may also be summarised as part of an exploratory analysis. Variable type and variable role should therefore be considered separately.

2.3.3 An Insurance Dataset

To illustrate the data-science process, consider a simplified motor insurance dataset. Each row represents an insurance policy, while each column records a characteristic of that policy or its observed experience.

Policy	Age	Area	Exposure	Claims	Claim Amount
1	24	Urban	1.00	1	12,500

Policy	Age	Area	Exposure	Claims	Claim Amount
2	42	Rural	1.00	0	0
3	31	Urban	0.50	2	8,400
4	56	Rural	1.00	0	0
5	27	Urban	0.75	1	21,300
6	45	Urban	1.00	0	0

This small dataset contains several types of insurance information. `Age` and `Area` describe characteristics of the policyholder or risk, while `Exposure` describes the amount of risk observed during the period. `Claims` records the number of observed claims, and `Claim Amount` records the corresponding aggregate claim amount.

The dataset can be used to illustrate several questions.

Descriptive question: How does claim experience vary across different areas?

Frequency question: What is the observed claim frequency?

Severity question: What is the average claim amount among policies with claims?

Comparative question: Does claim experience appear to differ between younger and older policyholders?

These questions illustrate an important feature of insurance data: different variables describe different aspects of the risk. In particular, the distinction between **frequency** and **severity** is fundamental in insurance analysis.

For a portfolio, claim frequency can be represented by

$$\text{Claim frequency} = \frac{\text{Number of claims}}{\text{Exposure}},$$

while average claim severity can be represented by

$$\text{Average severity} = \frac{\text{Total claim amount}}{\text{Number of claims}},$$

provided that the denominator is positive.

Combining the two gives the basic relationship

$$\text{Expected loss per unit exposure} \approx \text{Claim frequency} \times \text{Average severity}.$$

This relationship provides a simple bridge between the insurance concepts introduced in Chapter 1 and the data-science methods introduced in this chapter. The quantities are estimated from observed data, and more advanced methods can then be used to examine how they vary with risk characteristics.

2.4 The Data Science Life Cycle

A data science project typically follows a sequence of activities that transforms a practical problem into an evidence-based decision. Although individual projects differ, most involve several common stages:

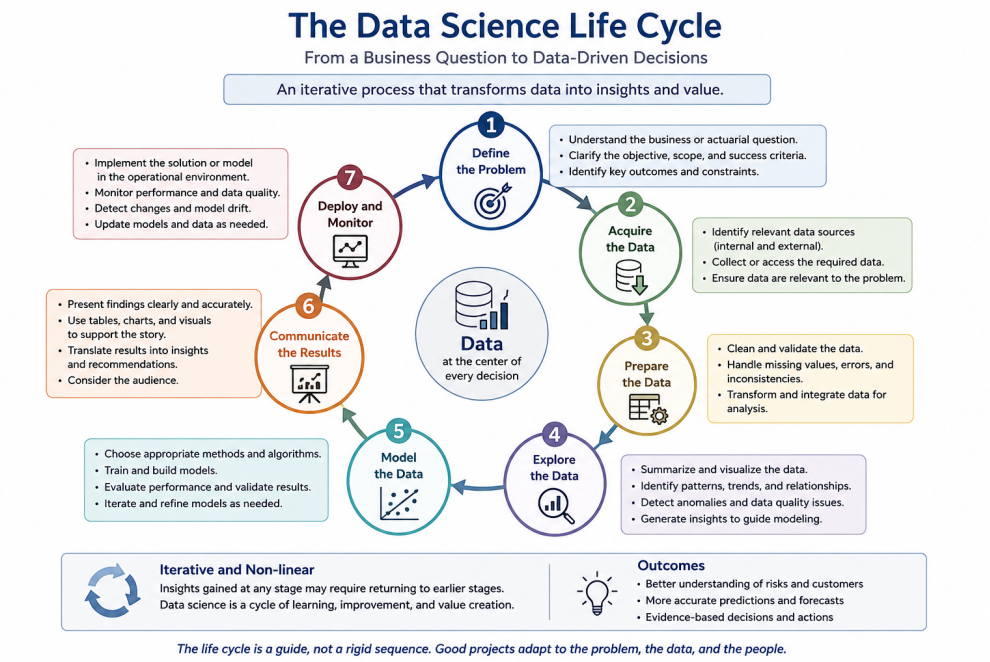


Figure 2.2: Data Science Life Cycle Flowchart

These stages provide a useful framework for organising a data science project. They should not, however, be viewed as a strictly linear process. Findings from one stage may require the analyst to return to an earlier stage. For example, exploratory analysis may reveal data-quality problems that require additional data preparation, while modelling results may indicate that the original question needs to be reconsidered.

In insurance, the cycle may begin with a question about claim experience, proceed through the analysis of policy and claims data, and ultimately produce information that supports underwriting, pricing, claims management, or risk management.

2.4.1 Define the Problem

The first stage is to clearly define the problem that the analysis is intended to address. A data science project should begin with a question or decision, rather than with a dataset or a particular modelling technique.

For an insurance problem, the analyst should establish:

- what decision needs to be supported;
- what outcome or quantity is of interest;
- which population or portfolio is being studied;

- what information may be relevant; and
- how the results will be used.

For example, an insurer may observe differences in motor insurance claim experience and ask:

Which characteristics are associated with differences in claim frequency?

This question is more useful than simply stating that the insurer wants to "analyse the claims data." It identifies the outcome of interest and provides a direction for the analysis.

The problem should also be translated into measurable quantities. For example, if claim frequency is being studied, the analysis needs information about both the number of claims and the corresponding exposure.

> ! Start with the decision, not the model
>
> The choice of statistical or machine-learning method should follow from the problem being addressed. A sophisticated model is not useful if it does not answer a relevant question or support a meaningful decision.
> A well-defined problem provides a clear objective for the remaining stages of the data science life cycle.

2.4.2 Acquire the Data

Once the problem has been defined, the next stage is to obtain the data required for the analysis.

Insurance data may come from several sources, including policy administration systems, claims systems, financial records, customer databases, and external sources. Data from different systems may need to be combined using a common identifier such as a policy or claim number.

The data required depend on the question being investigated. For example, analysing claim frequency may require:

- the number of claims;
- exposure;
- policy characteristics; and
- relevant risk characteristics.

Data acquisition may involve importing files, querying databases, accessing application programming interfaces (APIs), or obtaining data from external sources.

At this stage, it is important to distinguish between **available data** and **appropriate data**. A large dataset is not necessarily useful if it does not measure the quantities relevant to the problem.

2.4.3 Prepare the Data

Raw data are rarely ready for analysis. Data preparation involves checking, cleaning, transforming, and organising the data so that they are suitable for the intended analysis.

Common problems include:

- missing values;
- invalid or impossible values;
- inconsistent data types;
- duplicated observations;
- inconsistent categories;
- incorrect dates; and
- records that fall outside the relevant observation period.

Insurance data provide many examples. A policy may have a missing inception date, an exposure period may be incorrectly recorded, a claim may be associated with a policy that was not active at the claim date, or a categorical variable may contain several different labels for the same geographical area.

Data preparation may also require transformations. For example, a date may need to be converted into a standard date format, or several claim records may need to be aggregated to obtain the total claim amount for each policy.

The objective is not simply to make the dataset look tidy. Each transformation should have a clear reason based on the meaning of the underlying data and the requirements of the analysis.

> **i** Data cleaning is part of the analysis
>
> Cleaning data is not merely a technical task. Decisions about missing, invalid, or unusual observations can affect the results of the analysis. Data preparation should therefore be documented and carried out with an understanding of the underlying insurance process.

2.4.4 Explore the Data

After the data have been prepared, the next stage is **exploratory data analysis (EDA)**. The purpose of EDA is to understand the main characteristics of the data before formal modelling.

EDA can be used to examine:

- the distribution of individual variables;
- differences between groups;
- relationships between variables;
- unusual or extreme observations;
- missing values; and
- possible data-quality problems.

For example, an insurer may compare claim frequency across geographical areas or examine the distribution of claim amounts.

Both numerical summaries and graphical methods can be useful. Means, medians, standard deviations, and other descriptive statistics provide numerical summaries, while histograms, boxplots, bar charts, and scatterplots can reveal patterns that may not be apparent from numerical summaries alone.

EDA can also influence subsequent modelling. It may reveal variables that require transformation, groups that should be examined separately, or potential relationships that require further investigation.

Thus, exploration is not simply a preliminary presentation of the data. It helps the analyst understand what the data can reasonably support.

2.4.5 Model the Data

Once the data have been understood, an appropriate statistical or computational model can be developed when modelling is required.

A model provides a mathematical representation of relationships in the data. Depending on the problem, the objective may be to explain observed patterns, estimate an unknown quantity, or predict future outcomes.

In insurance, examples include:

- modelling claim frequency;
- modelling claim severity;
- predicting the probability of a claim;
- forecasting future claims; and
- estimating expected losses.

The choice of model depends on the nature of the outcome, the available data, the purpose of the analysis, and the assumptions that can reasonably be made.

For example, the number of claims is a count variable, whereas claim amount is a monetary variable. These different outcomes may require different modelling approaches.

Model development should also include evaluation. A model that fits historical data well may not necessarily provide reliable predictions for new observations. The analyst therefore needs to assess whether the model is appropriate for its intended purpose.

> **!** A model is an approximation
>
> A statistical model does not reproduce reality exactly. It provides a simplified representation of relationships observed in the data. Its usefulness depends on whether the assumptions and results are appropriate for the problem being considered.

2.4.6 Communicate the Results

The results of an analysis must be communicated clearly to the people who will use them. A technically correct analysis has limited value if its findings cannot be understood or connected to the original decision.

Communication may involve:

- tables;
- charts and visualisations;
- written reports;
- presentations; or
- interactive dashboards.

The form of communication should reflect the audience. An actuarial report may require technical details about assumptions and model performance, whereas senior management may need a concise summary of the main findings and their implications.

Good communication should connect the results back to the original question. For example, rather than simply reporting that two groups have different observed claim frequencies, the analyst should explain the size of the difference, the evidence supporting it, relevant limitations, and its potential implications for the insurance decision.

A useful structure is:

$$\text{Problem} \rightarrow \text{Evidence} \rightarrow \text{Interpretation} \rightarrow \text{Implication}.$$

This helps ensure that analysis leads to understanding rather than simply producing additional information.

2.4.7 Deploy and Monitor

When an analysis produces a model intended for operational use, the final stage is to deploy the model and monitor its performance.

Deployment means making the model available within the process for which it was developed. For example, a predictive model might be incorporated into an underwriting system to estimate risk when a new policy is quoted.

Deployment should normally be preceded by appropriate testing. The model should be checked in an environment that reflects its intended use before it is introduced into production.

Once deployed, the model should not simply be left unchanged. Insurance portfolios, customer behaviour, economic conditions, claim patterns, and data-generation processes can change over time. A model that performed well when developed may therefore become less appropriate later.

Monitoring involves checking whether the model and its underlying data continue to perform as expected. This may include monitoring predictive performance, data quality, unusual changes in input variables, and differences between predicted and observed outcomes.

For example, if a claim prediction model consistently underestimates the frequency of claims in a particular segment, the model may need to be investigated and potentially recalibrated or redeveloped.

The life cycle is iterative

The final stage may lead back to earlier stages. Changes in model performance may require new data, additional data preparation, further exploration, or redevelopment of the model.

Data science is a cycle, not a one-time process

The objective is to develop solutions that remain useful as the data, environment, and decision-making requirements change.

2.5 Roles in a Data Science Team

Data science projects often involve several people with different areas of expertise. Although the responsibilities may overlap, different roles contribute different skills to the data science life cycle.

The composition of a data science team depends on the size and nature of the organisation. In a small organisation, one person may perform several roles. In a larger organisation, responsibilities may be distributed among specialists.

Three common roles are **data analyst**, **data scientist**, and **data engineer**. In an insurance organisation, these roles may work closely with actuaries and other insurance professionals.

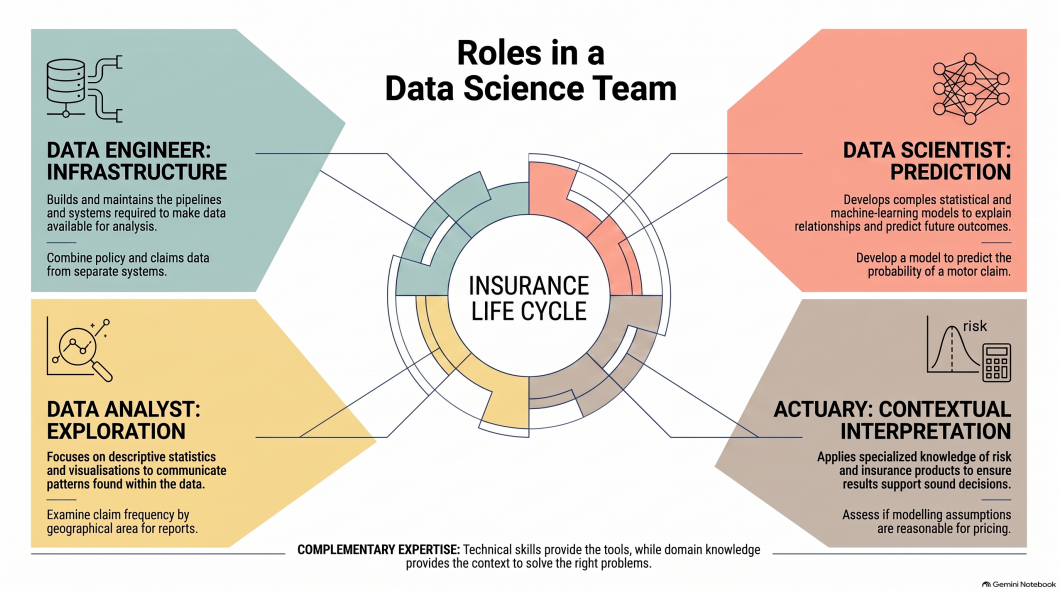


Figure 2.3: Core Roles and Responsibilities in a Data Science Team

2.5.1 Data Analyst

A data analyst focuses on understanding and communicating information contained in data. Typical activities include:

- collecting and preparing data for analysis;
- producing descriptive statistics;
- identifying patterns and trends;
- creating tables and visualisations; and
- communicating findings to stakeholders.

For example, a data analyst in an insurance company might examine claim frequency by geographical area and prepare a report showing differences in observed experience.

The role is closely associated with the **exploration and communication** stages of the data science life cycle.

2.5.2 Data Scientist

A data scientist typically works on more complex analytical and predictive problems. In addition to preparing and exploring data, a data scientist may develop statistical or machine-learning models to explain relationships or make predictions.

For example, a data scientist might develop a model to predict the probability that a motor insurance policy will generate a claim.

The role commonly involves:

- statistical modelling;
- predictive modelling;
- machine learning;
- model evaluation; and
- translating analytical results into useful information for decision-making.

The precise responsibilities vary between organisations, and the distinction between a data analyst and a data scientist is not always strict.

2.5.3 Data Engineer

A data engineer focuses on the infrastructure and processes required to make data available for analysis. This may include:

- collecting data from different systems;
- building and maintaining data pipelines;
- storing and organising data;
- integrating data from multiple sources; and
- ensuring that data can be accessed reliably.

For example, an insurance company may have separate systems for policies, claims, and payments. A data engineer may develop processes that extract and combine information from these systems so that it can be used for analysis.

The work of a data engineer is particularly important in the **data acquisition and preparation** stages of the data science life cycle.

2.5.4 The Actuary in a Data Science Team

For an actuarial student, an important question is where the **actuary** fits within a data science team.

Actuaries contribute specialised knowledge of risk, uncertainty, insurance products, financial consequences, and actuarial methods. They also understand the decisions that analytical results are intended to support.

For example, when developing a model for motor insurance pricing, an actuary may contribute by:

- defining the insurance problem;
- identifying appropriate measures of exposure;
- selecting relevant risk characteristics;
- assessing whether modelling assumptions are reasonable;
- interpreting model results in an insurance context; and
- considering the implications for pricing and risk management.

This illustrates the complementary nature of the different roles.

Role	Main focus	Example in insurance
Data analyst	Describe and communicate data	Analyse claim experience
Data scientist	Develop analytical and predictive models	Predict claim frequency
Data engineer	Build and manage data infrastructure	Combine policy and claims data
Actuary	Apply risk and insurance expertise	Interpret results for pricing

The boundaries between these roles are not fixed. An actuary may perform data analysis and statistical modelling, while a data scientist may need substantial knowledge of the insurance problem. In smaller organisations, a single person may perform several of these functions.

What matters is not the job title but the combination of skills required to complete the data science life cycle.

> **Data science is collaborative**
>
> A successful data science project usually requires more than one type of expertise. Technical skills are needed to work with data and develop models, while domain knowledge is needed to ensure that the analysis addresses the right problem and that its results are interpreted appropriately.
> For actuarial students, developing data-science skills therefore does not mean becoming a data engineer or replacing actuarial methods with machine learning. Instead, these skills

provide additional tools for applying actuarial knowledge to increasingly complex data and decision-making problems.

2.6 Applications of Data Science in Insurance

Data science can be applied throughout the insurance value chain. Insurers collect data at many stages of the insurance process, from underwriting and policy administration to claims settlement and portfolio management. Analysing these data can help insurers understand risk, improve operational processes, and support better-informed decisions.

The applications of data science in insurance can be grouped into several broad areas:

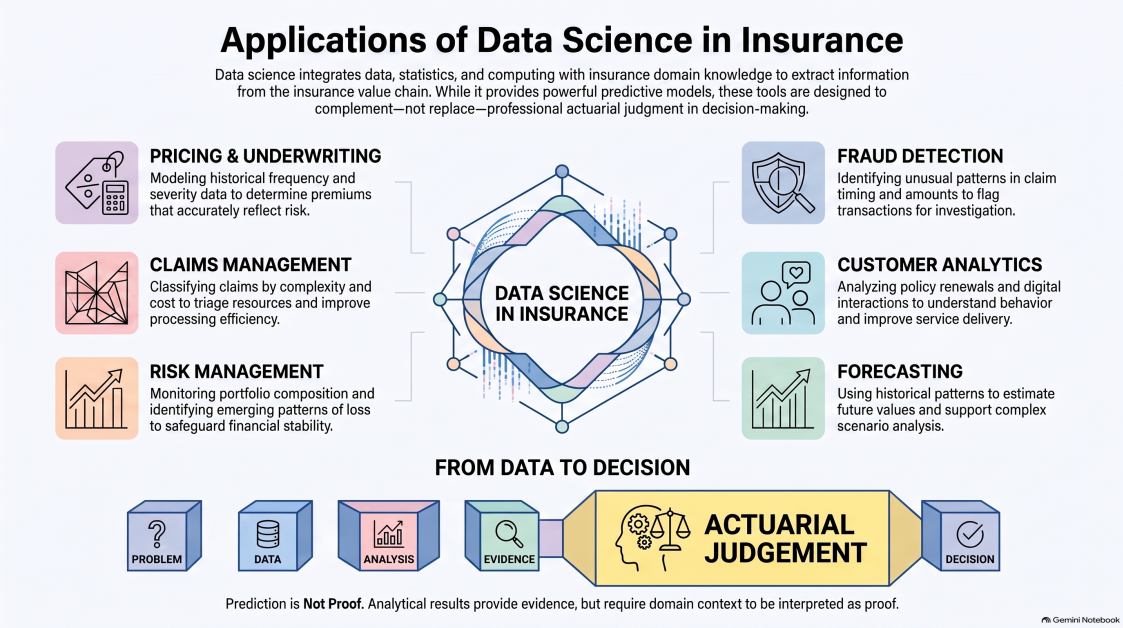


Figure 2.4: Data Science Applications in the Insurance Industry

The methods used in each area may differ, but they generally follow the same data-science principles introduced earlier in this chapter: define a problem, obtain and prepare relevant data, explore the data, develop an appropriate analysis or model, and communicate the results.

2.6.1 Pricing and Underwriting

Pricing is one of the most important applications of data science in insurance. Insurers need to estimate the expected cost of claims and determine premiums that appropriately reflect the risks being insured.

Historical policy and claims data can be used to investigate how insurance outcomes vary with characteristics such as age, geographical area, vehicle characteristics, coverage, or other risk factors.

For example, a motor insurer may analyse claim experience to investigate whether claim frequency varies with the age of the policyholder. A statistical model can then be used to estimate expected claim frequency for different combinations of risk characteristics.

A simple representation is

$$\text{Expected loss} \approx \text{Expected frequency} \times \text{Expected severity}.$$

Data science can support both components. Historical data can be used to model the number of claims and the amount of individual claims, while other variables can be used to explain differences in risk.

Data can also support underwriting decisions. An insurer may use information available at the time a policy is requested to assess the characteristics of the risk and determine whether additional information or underwriting review is required.

> **Data science does not replace actuarial pricing**
>
> A predictive model provides estimates based on data and modelling assumptions. Pricing decisions also require consideration of expenses, capital, reinsurance, regulatory requirements, market conditions, and professional judgement.

2.6.2 Claims Management

Claims generate a substantial amount of information that can be analysed to improve the claims process.

Data science can be used to understand claim patterns, estimate expected claim costs, predict claims outcomes, and support claims triage. For example, claims may be classified according to characteristics such as type, estimated cost, complexity, or likelihood of requiring further investigation.

Predictive models can help identify claims that are likely to become large or require additional attention. This can allow claims staff to allocate resources more effectively.

Data can also be used to monitor the development of claims over time. Comparing observed claim experience with previous experience or expected outcomes can provide information for claims management and portfolio monitoring.

The objective is not necessarily to automate the entire claims process. Instead, analytical results can provide additional information to claims professionals when making decisions.

2.6.3 Fraud Detection

Insurance fraud can result in financial losses and can affect the overall cost of insurance. Data science can assist insurers in identifying claims or transactions that have unusual characteristics.

For example, an insurer may analyse relationships among:

- policy characteristics;
- claim characteristics;
- claim timing;
- claim amounts; and
- previous claims.

Statistical or machine-learning methods can be used to identify patterns associated with claims that require further investigation.

An important distinction is that a model identifying an unusual claim does **not** establish that fraud has occurred. It identifies a case that may deserve additional investigation.

> **!** Prediction is not proof
>
> A data-science model can identify patterns or assign a probability to an outcome, but the result should not automatically be interpreted as evidence that a particular policyholder has committed fraud.

This distinction illustrates the importance of combining analytical results with domain knowledge and appropriate professional procedures.

2.6.4 Customer Analytics

Data science can also be used to understand customer behaviour and interactions with insurers.

Examples include analysing:

- policy renewals;
- cancellations and lapses;
- customer enquiries;
- product preferences; and
- patterns of interaction with digital services.

For example, an insurer may wish to identify policies that have a high probability of not being renewed. Historical policy data can be used to develop a predictive model and identify characteristics associated with higher lapse rates.

The resulting information can support decisions about customer communication, product design, and service delivery.

Customer analytics therefore extends the use of insurance data beyond the traditional assessment of claims risk. It considers how policyholders interact with the insurer and how these behaviours may affect the business.

2.6.5 Risk Management and Forecasting

Data science can support broader risk-management and forecasting activities.

Insurers need to monitor changes in their portfolios and anticipate future outcomes. Historical data can be analysed to identify trends, changes in risk characteristics, and unusual patterns.

Examples include:

- forecasting claim volumes;
- monitoring changes in claim severity;
- analysing portfolio composition;
- identifying emerging patterns of loss; and
- supporting scenario analysis.

Forecasting methods can be used to estimate future values based on historical patterns and other relevant information. However, forecasts are subject to uncertainty, particularly when future conditions differ from those observed in the historical data.

For example, changes in economic conditions, technology, regulation, customer behaviour, or the underlying risk environment may affect future insurance experience.

2.6.6 From Data to Insurance Decisions

The applications described above illustrate that data science is not a single insurance technique. It is a collection of methods that can support different types of insurance decisions.

The common process can be represented as:

Insurance problem → Relevant data → Analysis or model → Evidence → Actuarial judgement → Decision.

For example, in pricing, data may provide evidence about differences in expected claims between groups of policyholders. In claims management, data may help identify claims requiring additional attention. In fraud detection, data may identify unusual patterns for investigation.

In each case, the analytical result is only one part of the decision-making process. The result must be interpreted in the context of the insurance problem, the quality of the data, the assumptions of the analysis, and the consequences of the decision.

This is why data science and actuarial science are complementary. Data science provides methods for extracting information from data, while actuarial knowledge provides the context needed to interpret that information and apply it to insurance decisions.

> The same data-science principles apply across applications
>
> Although pricing, claims, fraud detection, and customer analytics address different problems, they follow the same fundamental process:
>
> Question → Data → Analysis → Evidence → Decision.

Learning the data-science process therefore provides a foundation for many different actuarial applications.

3 Chapter 3: Transforming and Summarizing Data

Learning Outcomes

By the end of this chapter, students should be able to:

1. Explain the principles of tidy data and recognize common untidy structures.
2. Import, inspect, and describe an insurance dataset in R.
3. Select, filter, and transform variables using `dplyr`.
4. Combine data-manipulation operations using pipes.
5. Group and summarize insurance data by rating variables.
6. Calculate and interpret basic claims summaries, including claim count, aggregate claims, and severity.
7. Distinguish claim count, frequency, severity, and risk premium.
8. Interpret claims experience in relation to the volume of data supporting it.
9. Recognize the limitations of unadjusted group comparisons in actuarial analysis.

3.1 Why Data Transformation Matters

Insurance data are rarely collected in exactly the form needed for analysis. A dataset may contain individual policy records, claim records, exposure measures, and characteristics of policyholders or insured objects. Before these data can be used to answer an actuarial question, they often need to be **transformed, organized, and summarized**.

Data transformation refers to changing the structure or representation of data so that they are suitable for a particular analysis. This may involve creating new variables, changing the units of measurement, grouping observations, filtering records, or combining information from different variables.

For example, consider a motor insurance dataset containing the policyholder's age, ZIP code, number of claims, exposure, and aggregate claim amount. The raw variables may be sufficient for storing the data, but they do not immediately provide measures such as claim frequency or average claim severity. These measures must be calculated from the underlying data.

$$\text{Raw data} \longrightarrow \text{Transformed data} \longrightarrow \text{Summary} \longrightarrow \text{Actuarial insight.}$$

The purpose of transformation is therefore not simply to make the dataset look cleaner. It is to create variables and summaries that help answer a specific insurance question.

For example, an insurer may want to investigate whether claim experience differs by age group. The original dataset may contain the exact age of each policyholder, but an analysis may require

age groups such as 18–25, 26–35, 36–45, and so on. Similarly, comparing the number of claims between two groups without considering exposure can be misleading. A group with more policies will generally have more claims simply because it has more opportunities for claims to occur.

This is why actuarial analysis often transforms the original data into measures that account for the volume of business. For example, claim frequency can be calculated as

$$\text{Claim Frequency} = \frac{\text{Number of Claims}}{\text{Exposure}},$$

while average claim severity can be calculated as

$$\text{Average Severity} = \frac{\text{Aggregate Claim Amount}}{\text{Number of Claims}}.$$

These quantities provide more meaningful information about the underlying risk than claim counts or aggregate claim amounts alone.

Transformation depends on the question

There is no single transformation that is appropriate for every analysis. The same raw dataset may be transformed in different ways depending on the actuarial question being investigated. For example, age may be used as an exact numerical variable when studying how risk changes with age, or it may be grouped into age bands when constructing an easily interpretable rating structure.

Data summarization is the next step. A large dataset may contain thousands of individual observations, making it difficult to identify patterns by inspecting individual records. Summaries condense the data into a smaller set of informative quantities, such as counts, totals, averages, medians, and measures of variability.

In insurance, summaries are often produced separately for different risk groups. For example, an insurer might compare exposure, claim frequency, and average severity across ZIP codes:

ZIP	Exposure	Claims	Claim Frequency	Average Severity
0	206.84	29	0.140	28,328
1	11,080.63	1,593	0.144	72,931
2	7,782.63	1,008	0.130	59,278
3	7,587.56	1,038	0.137	56,829

Such a table is much easier to interpret than the underlying individual policy records. It allows an analyst to compare both **risk experience** and **portfolio volume** across groups.
However, a summary is not itself an explanation. Differences between groups may arise for many reasons, including differences in the underlying risk characteristics, random variation, or differences in the composition of the portfolio. Data transformation and summarization therefore provide the evidence needed for further analysis; they do not replace actuarial judgement.
The central idea of this chapter is therefore:

Transform the data to represent the question, then summarize it to reveal the evidence.

These skills form an essential foundation for exploratory data analysis, statistical modelling, and insurance rating. Before fitting a model, an actuary should understand what the data contain, how the variables have been constructed, and what the basic summaries reveal about the portfolio.

3.2 Inspecting Data

Before transforming or summarizing a dataset, we first need to understand its structure and the meaning of the information it contains. This initial inspection is an important part of the data-science workflow because subsequent calculations are meaningful only when the underlying data have been correctly understood.

A dataset consists of **observations** and **variables**. An observation represents the unit being studied, while a variable records a characteristic of that unit. In insurance data, an observation might represent a policy, a policy-year, or another defined unit of exposure. Variables may describe the policyholder, the insured object, the exposure, or the claims arising during the observation period.

For example, a claims experience dataset may contain variables such as:

Variable	Description	Possible type
`age_policyholder`	Age of the policyholder	Numeric
`nclaims`	Number of claims	Numeric
`exposure`	Amount of exposure during the observation period	Numeric
`amount`	Aggregate claim amount	Numeric
`power`	Vehicle power	Numeric
`bm`	Bonus-malus level	Categorical or ordinal
`zip`	Geographic area	Categorical

Some of these variables describe the **outcome of insurance experience**, while others describe characteristics that may be associated with that experience. In actuarial applications, variables that may be used to differentiate risks for rating purposes are commonly called **rating variables**. They may include characteristics such as age, geographic area, vehicle characteristics, or previous claims experience.

3.2.1 Observations and variables

The number of observations is one of the first things we should establish. It tells us how many units are represented in the dataset and provides context for all subsequent calculations.

The number of observations, however, is not necessarily the same as the amount of insurance business represented by the data. In insurance, **exposure** provides an important measure of portfolio volume. For example, two groups may contain the same number of policy records but represent different amounts of exposure because policies may have been in force for different lengths of time.

This distinction becomes particularly important when comparing claims experience. A group with more claims does not necessarily have a higher underlying claim risk if it also has substantially greater exposure.

3.2.2 Variable types

Before performing calculations, each variable should be classified according to its meaning.

A **numeric variable** represents a quantity for which numerical operations are meaningful. Examples include age, exposure, number of claims, and claim amount. Such variables can be summarized using quantities such as means, medians, minima, maxima, and standard deviations.

A **categorical variable** represents membership in a group or category. Examples include vehicle type, geographic area, and rating class.

A variable should be classified according to its **meaning**, rather than simply according to the way its values are stored. For example, a ZIP code may be recorded using numbers such as `0`, `1`, `2`, and `3`, but these numbers identify geographic groups rather than quantities. Calculating their arithmetic mean would therefore have no useful interpretation.

> **!** Numeric values are not necessarily numeric variables
>
> The fact that a variable contains numbers does not mean that arithmetic operations on those numbers are meaningful.
> For example, if `zip` takes the values `0`, `1`, `2`, and `3`, it should normally be treated as a categorical variable. The value `3` does not represent three units of geographic area, nor is the average ZIP code an actuarial quantity of interest.

Some variables may also have an **ordinal** interpretation. For example, a bonus-malus level may consist of ordered categories in which higher or lower levels indicate different positions in a rating system. Although the categories have an order, the numerical codes should not automatically be treated as measurements with equal numerical distances.

3.2.3 Inspecting the values

Variable names and types are not sufficient. We should also examine the values recorded in each variable.

For numeric variables, useful initial questions include:

- What are the minimum and maximum values?
- Are there missing values?
- Are there zero or negative values?
- Are there unusually large or small observations?
- What units are being used?

For categorical variables, we should consider:

- What categories occur?
- How many observations belong to each category?
- Are there unexpected categories?
- Are category labels recorded consistently?

These checks are particularly important for insurance data. For example, a negative claim amount may indicate a data-entry or coding issue, while a zero claim count may be perfectly valid because most policyholders may have no claim during a given observation period.

3.2.4 Tidy data

Once the basic structure of the data has been identified, the next question is whether the data are organized in a form that is convenient for analysis.

A useful standard is **tidy data**. A dataset is tidy when:

1. each variable has its own column;
2. each observation has its own row; and
3. each value has its own cell.

This structure separates the concepts of observations and variables clearly. It also makes subsequent transformation, summarization, and visualization more systematic.

For example, suppose a claims dataset records the policy number, year, and number of claims. A tidy representation might look like this:

Policy	Year	Claims
120002	2009	0
120002	2010	1
120003	2009	2
120003	2010	0

Here, `Policy`, `Year`, and `Claims` are variables, while each row represents one policy-year observation. Each value occupies a single cell.

The same information can, however, be stored in several other forms. These representations may be convenient for reporting or data entry, but they are less convenient for data analysis.

3.2.4.1 Example 1: Variables stored in column names

Consider the following representation:

Policy	Claims_2009	Claims_2010
120002	0	1
120003	2	0

The values for `Year` have been incorporated into the column names. This means that `Year` is no longer an explicit variable in the dataset.

This structure is often convenient for displaying results, but it becomes less convenient when we want to perform an operation such as:

```
claims %>%
  group_by(Year) %>%
  summarise(total_claims = sum(Claims))
```

In the tidy representation, `Year` is a variable and can therefore be used directly for grouping and summarization. In the representation above, the years must first be extracted from the column names.

This type of transformation is commonly referred to as converting data from **wide** to **long** format. In `tidyr`, the `pivot_longer()` function is used for this purpose.

3.2.4.2 Example 2: Multiple variables stored in one column

Suppose claims information is recorded as follows:

Policy	Year	Information
120002	2009	Claims:0
120002	2010	Claims:1
120003	2009	Claims:2
120003	2010	Claims:0

Here, the column `Information` contains both the name of the variable (`Claims`) and its value. The actual claim count is therefore not stored as a separate variable.

A more useful representation is:

Policy	Year	Claims
120002	2009	0
120002	2010	1
120003	2009	2
120003	2010	0

Separating the variable name from its values makes the data easier to filter, summarize, and visualize.

3.2.4.3 Example 3: Multiple observations stored in one row

Consider a dataset in which a policy's claims experience is recorded in a single row:

Policy	Claims_1	Claims_2	Claims_3
120002	0	1	0
120003	2	0	1

Suppose `Claims_1`, `Claims_2`, and `Claims_3` represent claims in three successive years. The year information is again encoded in the column names rather than represented by a separate variable.

A tidy representation would instead have one row for each policy-year observation:

Policy	Year	Claims
120002	1	0
120002	2	1
120002	3	0
120003	1	2
120003	2	0
120003	3	1

This structure makes it straightforward to perform operations such as calculating total claims by year or comparing claims experience across policies.

The process of converting data from the first representation to the second is another example of transforming **wide data into long data**.

> **i** Why tidy data matter
>
> Tidy data provide a consistent structure for subsequent operations. Once each observation, variable, and value has a clear place in the dataset, operations such as filtering observations, creating variables, grouping records, and calculating summaries become easier to express and interpret.
> Tidy data are not necessarily the only possible way to store data. Wide formats can be useful for reporting and presentation. The purpose of tidy data is to provide a structure that is particularly convenient for data manipulation and analysis.

In practice, data imported from spreadsheets, databases, or other sources may not initially be tidy. A substantial part of data preparation therefore involves reshaping the data into a suitable structure before analysis. The `tidyr` package provides functions such as `pivot_longer()` and `pivot_wider()` for converting between long and wide representations.

3.2.5 From inspection to transformation

Inspecting the data does not mean that we have finished preparing them. Rather, it gives us the information needed to decide **what transformation is appropriate**.

For example, after inspecting a motor insurance dataset, we might decide to:

- retain only variables relevant to the analysis;
- select policies from a particular period;
- create a claim frequency variable;
- group policyholders into age bands;
- classify ZIP codes as rating groups; or
- calculate claim severity for observations with at least one claim.

These operations correspond to the next stage of the workflow:

$$\text{Inspect} \longrightarrow \text{Transform} \longrightarrow \text{Summarize}.$$

In R, the `dplyr` package provides a set of functions designed for these common operations. The most important functions introduced in this chapter are `select()`, `filter()`, `mutate()`, `group_by()`, and `summarise()`.

> **i** Further reference: `dplyr`
>
> The `dplyr` package provides a consistent set of tools for transforming and summarizing data in R. This chapter introduces its core functions for common data-manipulation tasks.
> For the complete reference and additional examples, see the official `dplyr` documentation.

We begin by loading and briefly inspecting the claims dataset that will be used throughout this section. We then consider how data should be structured for analysis before introducing the operations used to manipulate and transform the data step by step.

3.3 The Claims Experience Dataset

Throughout this chapter, we will use a claims dataset to demonstrate how R can be used to import, inspect, transform, and analyse insurance data. The dataset contains information on insured risks and their claims experience.

3.3.1 Importing the data

The data are stored in the `data` folder of the project directory. We can therefore import the dataset using a relative file path without changing the working directory manually.

```
library(dplyr)
library(readr)

claims <- read_csv("../data/ClaimsExperienceData.csv")
```

3.3.2 Inspecting the data

After importing a dataset, it is good practice to inspect its basic structure before beginning any analysis. This helps us understand the observations and variables available and whether R has assigned appropriate data types to the variables.

```
glimpse(claims)
```

```
Rows: 5,639
Columns: 23
$ PolicyNum     <dbl> 120002, 120002, 120002, 120002, 120002, 120003, 120003, ~
$ Year          <dbl> 2006, 2007, 2008, 2009, 2010, 2006, 2007, 2008, 2009, 20~
$ LnCoverage    <dbl> 3.123002, 3.220740, 3.037427, 3.084324, 3.157489, 4.5986~
$ BCcov         <dbl> 22714456, 25046646, 20851525, 21852696, 23511493, 993533~
$ Premium       <dbl> 9313, 8767, 7090, 8522, 7994, 40735, 39728, 42280, 36893~
$ Freq          <dbl> 0, 0, 0, 0, 1, 0, 5, 1, 2, 1, 3, 1, 0, 3, 1, 0, 5, 0, 2,~
$ Deduct        <dbl> 1000, 1000, 1000, 1000, 1000, 5000, 5000, 5000, 5000, 50~
$ y             <dbl> 0.00, 0.00, 0.00, 0.00, 6838.87, 0.00, 15500.00, 8775.00~
$ lny           <dbl> 0.000000, 0.000000, 0.000000, 0.000000, 8.830378, 0.0000~
$ yAvg          <dbl> 0.000, 0.000, 0.000, 0.000, 6838.870, 0.000, 3100.000, 8~
$ lnDeduct      <dbl> 6.907755, 6.907755, 6.907755, 6.907755, 6.907755, 8.5171~
$ Fire5         <dbl> 1, 1, 1, 1, 1, 1, 1, 1, 1, 1, 1, 1, 1, 1, 1, 1, 1, 1, 1,~
$ NoClaimCredit <dbl> 0, 0, 1, 1, 1, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0,~
$ TypeCity      <dbl> 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0,~
$ TypeCounty    <dbl> 1, 1, 1, 1, 1, 1, 1, 1, 1, 1, 1, 1, 1, 1, 1, 1, 1, 1, 1,~
$ TypeMisc      <dbl> 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0,~
$ TypeSchool    <dbl> 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0,~
$ TypeTown      <dbl> 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0,~
$ TypeVillage   <dbl> 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0,~
$ AC00          <dbl> 1, 1, 1, 1, 1, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0,~
$ AC05          <dbl> 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0,~
$ AC10          <dbl> 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0, 0,~
$ AC15          <dbl> 0, 0, 0, 0, 0, 1, 1, 1, 1, 1, 1, 1, 1, 1, 1, 1, 1, 1, 1,~
```

The `glimpse()` function provides a compact overview of the dataset, including the number of observations and variables, variable names, data types, and example values.

We can also use `head()` to view the first few observations:

```
head(claims)
```

```
# A tibble: 6 x 23
  PolicyNum  Year LnCoverage    BCcov Premium  Freq Deduct     y   lny  yAvg
      <dbl> <dbl>      <dbl>    <dbl>   <dbl> <dbl>  <dbl> <dbl> <dbl> <dbl>
1    120002  2006       3.12 22714456    9313     0   1000    0   0       0
2    120002  2007       3.22 25046646    8767     0   1000    0   0       0
3    120002  2008       3.04 20851525    7090     0   1000    0   0       0
```

```
4    120002  2009       3.08 21852696    8522     0   1000    0   0       0
5    120002  2010       3.16 23511493    7994     1   1000 6839.  8.83 6839.
6    120003  2006       4.60 99353377   40735     0   5000    0   0       0
# i 13 more variables: lnDeduct <dbl>, Fire5 <dbl>, NoClaimCredit <dbl>,
#   TypeCity <dbl>, TypeCounty <dbl>, TypeMisc <dbl>, TypeSchool <dbl>,
#   TypeTown <dbl>, TypeVillage <dbl>, AC00 <dbl>, AC05 <dbl>, AC10 <dbl>,
#   AC15 <dbl>
```

3.3.3 Description of the rating variables

The following variables represent characteristics of the insured risks that may be related to claims outcomes.

Variable	Description
`EntityType`	Categorical variable with six types: Village, City, County, Misc, School, or Town
`LnCoverage`	Total building and content coverage, in logarithmic millions of dollars
`LnDeduct`	Deductible, in logarithmic dollars
`AlarmCredit`	Categorical variable with four levels (0, 5, 10, or 15), representing credits for automatic smoke alarms in main rooms
`NoClaimCredit`	Binary variable indicating whether there were no claims in the past two years
`Fire5`	Binary variable indicating whether the fire class is below 5; the fire class ranges from 0 to 10

These variables are potential **rating factors** because they describe characteristics of the insured risks that may help explain differences in claims experience. Their roles will become clearer as we use the dataset for data manipulation and analysis.

3.4 Selecting and Filtering Data

Once a dataset has been inspected and organized in a tidy form, the next step is to work with the observations and variables relevant to the question being investigated. A dataset may contain many variables and observations, but an analysis rarely requires all of them at once.

Two common operations are therefore **selecting variables** and **filtering observations**. In `dplyr`, these operations are performed using `select()` and `filter()`.

3.4.1 Selecting variables

The `select()` function is used to choose particular variables from a data frame. This is useful when a dataset contains many columns but only a subset is relevant to the current analysis.

For example, suppose a claims dataset contains information on policy number, year, coverage, claim frequency, and several other variables. We may select only the variables needed to examine claims experience:

```
claims %>%
  select(PolicyNum, Year, LnCoverage, y, Freq)
```

```
# A tibble: 5,639 x 5
   PolicyNum  Year LnCoverage      y  Freq
       <dbl> <dbl>      <dbl>  <dbl> <dbl>
 1    120002  2006       3.12     0      0
 2    120002  2007       3.22     0      0
 3    120002  2008       3.04     0      0
 4    120002  2009       3.08     0      0
 5    120002  2010       3.16  6839.     1
 6    120003  2006       4.60     0      0
 7    120003  2007       4.65 15500      5
 8    120003  2008       4.71  8775      1
 9    120003  2009       4.78 37471.     2
10    120003  2010       4.74  9711.     1
# i 5,629 more rows
```

The result contains the selected columns while retaining all observations.

The names supplied to `select()` refer to variables in the data frame. We can therefore use `select()` to create a simpler view of a dataset without changing the original data.

For example,

```
new_table <- claims %>%
  select(PolicyNum, Year, LnCoverage, y, Freq)
```

creates a new data frame containing only the selected variables. The original `claims` data remain unchanged.

> **i** Selecting variables is not the same as deleting data
>
> `select()` determines which variables are included in the resulting data frame. Unless the result is assigned back to the original object, the original dataset is not modified.
> Selecting variables is particularly useful when checking whether related variables have been recorded consistently or when preparing a smaller table for further analysis.

3.4.2 Filtering observations

While `select()` works with variables, `filter()` works with **observations**. It retains only the rows that satisfy a specified condition.

For example, suppose we want to examine claims experience for the year 2010:

```
claims %>%
  filter(Year == 2010)
```

```
# A tibble: 1,110 x 23
   PolicyNum  Year LnCoverage     BCcov Premium  Freq Deduct      y   lny   yAvg
       <dbl> <dbl>      <dbl>     <dbl>   <dbl> <dbl>  <dbl>  <dbl> <dbl>  <dbl>
 1    120002  2010       3.16  23511493    7994     1   1000  6839.  8.83  6839.
 2    120003  2010       4.74 114646079   36687     1   5000  9711.  9.18  9711.
 3    120004  2010       3.46  31853574   17839     1   1000 10324.  9.24 10324.
 4    120005  2010       3.49  32713698   12431     0   5000     0   0        0
 5    120008  2010       3.86  47321724   16090     1    500  3470.  8.15  3470.
 6    120009  2010       4.28  72286976   15180     0  25000     0   0        0
 7    120010  2010       4.60  99135847   15861     1  25000 35000  10.5  35000
 8    120012  2010       6.34 569366096  222052    19    500 83935. 11.3   4418.
 9    120013  2010       5.10 163526511   58869     5    500 63530. 11.1  12706.
10    120015  2010       4.68 107382645   38657    11   1000 38117. 10.5   3465.
# i 1,100 more rows
# i 13 more variables: lnDeduct <dbl>, Fire5 <dbl>, NoClaimCredit <dbl>,
#   TypeCity <dbl>, TypeCounty <dbl>, TypeMisc <dbl>, TypeSchool <dbl>,
#   TypeTown <dbl>, TypeVillage <dbl>, AC00 <dbl>, AC05 <dbl>, AC10 <dbl>,
#   AC15 <dbl>
```

The condition `Year == 2010` is evaluated for each observation. Only observations for which the condition is `TRUE` are retained.

The equality operator in R is `==`. It should not be confused with `=`, which is commonly used to assign a value to an object or to specify an argument.

Filtering can also be used with other logical conditions. For example, to retain observations with positive claim counts:

```
claims %>%
  filter(Freq > 0)
```

```
# A tibble: 1,679 x 23
   PolicyNum  Year LnCoverage     BCcov Premium  Freq Deduct      y   lny   yAvg
       <dbl> <dbl>      <dbl>     <dbl>   <dbl> <dbl>  <dbl>  <dbl> <dbl>  <dbl>
 1    120002  2010       3.16  23511493    7994     1   1000 6.84e3  8.83  6839.
 2    120003  2007       4.65 104546824   39728     5   5000 1.55e4  9.65  3100
 3    120003  2008       4.71 111265009   42280     1   5000 8.78e3  9.08  8775
 4    120003  2009       4.78 119005219   36893     2   5000 3.75e4 10.5  18735.
 5    120003  2010       4.74 114646079   36687     1   5000 9.71e3  9.18  9711.
 6    120004  2006       3.25  25879634   16823     3    500 1.30e4  9.47  4334.
 7    120004  2007       3.39  29720359   20507     1    500 3.27e4 10.4  32733.
 8    120004  2009       3.50  33064745   18185     3   1000 4.26e4 10.7  14200.
 9    120004  2010       3.46  31853574   17839     1   1000 1.03e4  9.24 10324.
10    120005  2007       3.50  33128746   14245     5   5000 1.44e5 11.9  28801.
```

```
# i 1,669 more rows
# i 13 more variables: lnDeduct <dbl>, Fire5 <dbl>, NoClaimCredit <dbl>,
#   TypeCity <dbl>, TypeCounty <dbl>, TypeMisc <dbl>, TypeSchool <dbl>,
#   TypeTown <dbl>, TypeVillage <dbl>, AC00 <dbl>, AC05 <dbl>, AC10 <dbl>,
#   AC15 <dbl>
```

This is useful when the analysis concerns claim severity, because observations with no claims do not have an observed claim severity.

Multiple conditions can be combined. For example, we may want observations from 2010 that also have at least one claim:

```
claims %>%
  filter(Year == 2010 & Freq > 0)
```

```
# A tibble: 403 x 23
   PolicyNum  Year LnCoverage     BCcov Premium  Freq Deduct      y   lny   yAvg
       <dbl> <dbl>      <dbl>     <dbl>   <dbl> <dbl>  <dbl>  <dbl> <dbl>  <dbl>
 1    120002  2010       3.16  23511493    7994     1   1000  6839.  8.83  6839.
 2    120003  2010       4.74 114646079   36687     1   5000  9711.  9.18  9711.
 3    120004  2010       3.46  31853574   17839     1   1000 10324.  9.24 10324.
 4    120008  2010       3.86  47321724   16090     1    500  3470.  8.15  3470.
 5    120010  2010       4.60  99135847   15861     1  25000 35000  10.5  35000
 6    120012  2010       6.34 569366096  222052    19    500 83935. 11.3   4418.
 7    120013  2010       5.10 163526511   58869     5    500 63530. 11.1  12706.
 8    120015  2010       4.68 107382645   38657    11   1000 38117. 10.5   3465.
 9    120017  2010       4.38  79719144   22321     7   5000  9132.  9.12  1305.
10    120018  2010       4.75 115589417   39301     1   5000  9649.  9.17  9649.
# i 393 more rows
# i 13 more variables: lnDeduct <dbl>, Fire5 <dbl>, NoClaimCredit <dbl>,
#   TypeCity <dbl>, TypeCounty <dbl>, TypeMisc <dbl>, TypeSchool <dbl>,
#   TypeTown <dbl>, TypeVillage <dbl>, AC00 <dbl>, AC05 <dbl>, AC10 <dbl>,
#   AC15 <dbl>
```

The operator `&` means **and**: both conditions must be satisfied.

Similarly, `|` means **or**. For example,

```
claims %>%
  filter(Year == 2009 | Year == 2010)
```

```
# A tibble: 2,222 x 23
   PolicyNum  Year LnCoverage     BCcov Premium  Freq Deduct      y   lny   yAvg
       <dbl> <dbl>      <dbl>     <dbl>   <dbl> <dbl>  <dbl>  <dbl> <dbl>  <dbl>
 1    120002  2009       3.08  21852696    8522     0   1000      0   0        0
 2    120002  2010       3.16  23511493    7994     1   1000  6839.  8.83  6839.
 3    120003  2009       4.78 119005219   36893     2   5000 37471. 10.5  18735.
```

```
 4    120003  2010       4.74 114646079   36687     1   5000  9711.  9.18  9711.
 5    120004  2009       3.50  33064745   18185     3   1000 42600. 10.7  14200.
 6    120004  2010       3.46  31853574   17839     1   1000 10324.  9.24 10324.
 7    120005  2009       3.61  36974202   14050     2   5000 27481. 10.2  13740.
 8    120005  2010       3.49  32713698   12431     0   5000     0   0        0
 9    120008  2009       3.81  45360920   18144     2    500 12015.  9.39  6007.
10    120008  2010       3.86  47321724   16090     1    500  3470.  8.15  3470.
# i 2,212 more rows
# i 13 more variables: lnDeduct <dbl>, Fire5 <dbl>, NoClaimCredit <dbl>,
#   TypeCity <dbl>, TypeCounty <dbl>, TypeMisc <dbl>, TypeSchool <dbl>,
#   TypeTown <dbl>, TypeVillage <dbl>, AC00 <dbl>, AC05 <dbl>, AC10 <dbl>,
#   AC15 <dbl>
```

retains observations from either 2009 or 2010.

3.4.3 Selecting from a set of values

When a variable needs to be compared with several possible values, the `%in%` operator provides a convenient alternative.

For example,

```
claims %>%
  filter(Year %in% c(2009, 2010))
```

```
# A tibble: 2,222 x 23
   PolicyNum  Year LnCoverage     BCcov Premium  Freq Deduct      y   lny   yAvg
       <dbl> <dbl>      <dbl>     <dbl>   <dbl> <dbl>  <dbl>  <dbl> <dbl>  <dbl>
 1    120002  2009       3.08  21852696    8522     0   1000     0   0        0
 2    120002  2010       3.16  23511493    7994     1   1000  6839.  8.83  6839.
 3    120003  2009       4.78 119005219   36893     2   5000 37471. 10.5  18735.
 4    120003  2010       4.74 114646079   36687     1   5000  9711.  9.18  9711.
 5    120004  2009       3.50  33064745   18185     3   1000 42600. 10.7  14200.
 6    120004  2010       3.46  31853574   17839     1   1000 10324.  9.24 10324.
 7    120005  2009       3.61  36974202   14050     2   5000 27481. 10.2  13740.
 8    120005  2010       3.49  32713698   12431     0   5000     0   0        0
 9    120008  2009       3.81  45360920   18144     2    500 12015.  9.39  6007.
10    120008  2010       3.86  47321724   16090     1    500  3470.  8.15  3470.
# i 2,212 more rows
# i 13 more variables: lnDeduct <dbl>, Fire5 <dbl>, NoClaimCredit <dbl>,
#   TypeCity <dbl>, TypeCounty <dbl>, TypeMisc <dbl>, TypeSchool <dbl>,
#   TypeTown <dbl>, TypeVillage <dbl>, AC00 <dbl>, AC05 <dbl>, AC10 <dbl>,
#   AC15 <dbl>
```

retains observations for which `Year` is either 2009 or 2010. The expression

```
Year %in% c(2009, 2010)
```

checks whether the value of `Year` belongs to the specified set of values. This is often more readable than writing several equality conditions joined by `|`. The source material uses the same approach when filtering the claims data by multiple years.

3.4.4 Combining selection and filtering

In practice, selecting variables and filtering observations are often performed together.

For example, we may want to examine only the policy number, year, coverage, and claim variables for policies observed in 2009 and 2010:

```
claims %>%
  select(PolicyNum, Year, LnCoverage, y, Freq) %>%
  filter(Year %in% c(2009, 2010))
```

```
# A tibble: 2,222 x 5
   PolicyNum  Year LnCoverage      y  Freq
       <dbl> <dbl>      <dbl>  <dbl> <dbl>
 1    120002  2009       3.08     0      0
 2    120002  2010       3.16  6839.     1
 3    120003  2009       4.78 37471.     2
 4    120003  2010       4.74  9711.     1
 5    120004  2009       3.50 42600.     3
 6    120004  2010       3.46 10324.     1
 7    120005  2009       3.61 27481.     2
 8    120005  2010       3.49     0      0
 9    120008  2009       3.81 12015.     2
10    120008  2010       3.86  3470.     1
# i 2,212 more rows
```

The operations are performed from left to right. First, the relevant variables are selected. The resulting data are then filtered to retain the required observations.

This illustrates an important principle of data transformation:

$$\text{Select relevant variables} \longrightarrow \text{Filter relevant observations} \longrightarrow \text{Continue the analysis.}$$

The same operations could be performed separately by creating intermediate data frames. However, combining them into a sequence makes the analytical process easier to follow.

3.4.5 Why selection and filtering matter in actuarial analysis

Selection and filtering are not merely programming operations. They determine **which part of the portfolio is being analyzed**.

For example, an analyst might investigate:

- policies written during a particular year;
- policyholders within a particular age range;
- policies belonging to a particular ZIP code;
- observations with positive claims;
- a particular set of rating classes.

The resulting summaries describe only the observations that have been retained. Therefore, the filtering criteria should always be stated clearly when reporting an analysis.

This is especially important when analyzing claims. If zero-claim observations are removed before calculating average severity, the resulting statistic describes the severity **conditional on a claim occurring**. It does not describe the average claim amount across all policyholders.

> **!** Always ask: what observations are being analyzed?
>
> A summary statistic is meaningful only when we know which observations were included in its calculation.
> For example,
>
> $$\frac{\text{Aggregate Claim Amount}}{\text{Number of Claims}}$$
>
> describes average claim severity, whereas excluding observations with zero claims before calculating this quantity does not mean that zero claims have been ignored from the underlying portfolio; they simply do not contribute to the denominator because they contain no claim whose severity can be measured.

Selection and filtering therefore provide the basic tools for defining the **scope of an analysis**. Once the relevant observations and variables have been identified, the next step is often to create new variables that express quantities more directly relevant to the actuarial question.

3.5 Creating and Transforming Variables

After selecting the relevant observations and variables, the next step is often to create variables that are more useful for the analysis. A raw dataset may contain the information needed to calculate an actuarial quantity, but that quantity may not yet exist as a variable in the dataset.

For example, a claims dataset may contain the total claim amount and the number of claims, but not the average claim severity. We can create a new variable from the existing variables:

$$\text{Average Severity} = \frac{\text{Aggregate Claim Amount}}{\text{Number of Claims}}.$$

In `dplyr`, the `mutate()` function is used to create new variables or transform existing ones. The basic form is:

```
data %>%
  mutate(new_variable = expression)
```

The expression on the right-hand side determines the values of the new variable. Existing variables can be used directly in the expression.

3.5.1 Creating a new variable

Suppose the claims dataset contains `y`, representing aggregate claim amount, and `Freq`, representing the number of claims. We can create a variable called `yAvg` representing average claim severity:

```
claims %>%
  mutate(yAvg = y / Freq)
```

```
# A tibble: 5,639 x 23
   PolicyNum  Year LnCoverage     BCcov Premium  Freq Deduct      y   lny   yAvg
       <dbl> <dbl>      <dbl>     <dbl>   <dbl> <dbl>  <dbl>  <dbl> <dbl>  <dbl>
 1    120002  2006       3.12  22714456    9313     0   1000     0   0      NaN
 2    120002  2007       3.22  25046646    8767     0   1000     0   0      NaN
 3    120002  2008       3.04  20851525    7090     0   1000     0   0      NaN
 4    120002  2009       3.08  21852696    8522     0   1000     0   0      NaN
 5    120002  2010       3.16  23511493    7994     1   1000  6839.  8.83  6839.
 6    120003  2006       4.60  99353377   40735     0   5000     0   0      NaN
 7    120003  2007       4.65 104546824   39728     5   5000 15500   9.65  3100
 8    120003  2008       4.71 111265009   42280     1   5000  8775   9.08  8775
 9    120003  2009       4.78 119005219   36893     2   5000 37471. 10.5  18735.
10    120003  2010       4.74 114646079   36687     1   5000  9711.  9.18  9711.
# i 5,629 more rows
# i 13 more variables: lnDeduct <dbl>, Fire5 <dbl>, NoClaimCredit <dbl>,
#   TypeCity <dbl>, TypeCounty <dbl>, TypeMisc <dbl>, TypeSchool <dbl>,
#   TypeTown <dbl>, TypeVillage <dbl>, AC00 <dbl>, AC05 <dbl>, AC10 <dbl>,
#   AC15 <dbl>
```

The new variable is calculated separately for each observation. The original variables remain available in the resulting data frame.

We can also save the transformed data as a new object:

```
claims_new <- claims %>%
  mutate(yAvg = y / Freq)
```

This creates `claims_new` with the additional variable `yAvg`, while leaving `claims` unchanged.

The source material similarly uses `mutate()` to create `LnCoverageChecked` from the underlying coverage variable and `yAvgChecked` from claim amount divided by claim frequency.

3.5.2 Transforming an existing variable

Creating a new variable is not limited to arithmetic operations. A transformation may also change the scale or representation of an existing quantity.

For example, the source claims data contains coverage represented on a logarithmic scale. The underlying coverage variable can be transformed using

```
claims %>%
  mutate(LnCoverageChecked = log(BCcov / 10^6))
```

```
# A tibble: 5,639 x 24
   PolicyNum  Year LnCoverage     BCcov Premium  Freq Deduct      y   lny   yAvg
       <dbl> <dbl>      <dbl>     <dbl>   <dbl> <dbl>  <dbl>  <dbl> <dbl>  <dbl>
 1    120002  2006       3.12  22714456    9313     0   1000      0   0        0
 2    120002  2007       3.22  25046646    8767     0   1000      0   0        0
 3    120002  2008       3.04  20851525    7090     0   1000      0   0        0
 4    120002  2009       3.08  21852696    8522     0   1000      0   0        0
 5    120002  2010       3.16  23511493    7994     1   1000  6839.   8.83  6839.
 6    120003  2006       4.60  99353377   40735     0   5000      0   0        0
 7    120003  2007       4.65 104546824   39728     5   5000 15500    9.65  3100
 8    120003  2008       4.71 111265009   42280     1   5000  8775    9.08  8775
 9    120003  2009       4.78 119005219   36893     2   5000 37471.  10.5  18735.
10    120003  2010       4.74 114646079   36687     1   5000  9711.   9.18  9711.
# i 5,629 more rows
# i 14 more variables: lnDeduct <dbl>, Fire5 <dbl>, NoClaimCredit <dbl>,
#   TypeCity <dbl>, TypeCounty <dbl>, TypeMisc <dbl>, TypeSchool <dbl>,
#   TypeTown <dbl>, TypeVillage <dbl>, AC00 <dbl>, AC05 <dbl>, AC10 <dbl>,
#   AC15 <dbl>, LnCoverageChecked <dbl>
```

Here, the new variable is calculated by first converting coverage into millions of dollars and then taking its logarithm.

The important principle is that a transformation should have a clear interpretation. A variable should not be transformed simply because a particular function is available. The analyst should understand what the resulting quantity represents and why it is appropriate for the analysis.

3.5.3 Creating actuarial quantities

Many useful insurance variables are derived from existing information.

For example, suppose an observation contains claim count N and exposure E. Claim frequency can be represented by

$$\text{Frequency} = \frac{N}{E}.$$

Similarly, if Y denotes aggregate claim amount and N denotes the number of claims, average claim severity is

$$\text{Severity} = \frac{Y}{N}, \qquad N > 0.$$

These quantities can be derived from the variables in the dataset. In particular, the average claim severity can be calculated as the total claim amount divided by the number of claims:

```
claims %>%
  mutate(
    severity = y / Freq
  )
```

```
# A tibble: 5,639 x 24
   PolicyNum  Year LnCoverage     BCcov Premium  Freq Deduct      y   lny   yAvg
       <dbl> <dbl>      <dbl>     <dbl>   <dbl> <dbl>  <dbl>  <dbl> <dbl>  <dbl>
 1    120002  2006       3.12  22714456    9313     0   1000     0   0        0
 2    120002  2007       3.22  25046646    8767     0   1000     0   0        0
 3    120002  2008       3.04  20851525    7090     0   1000     0   0        0
 4    120002  2009       3.08  21852696    8522     0   1000     0   0        0
 5    120002  2010       3.16  23511493    7994     1   1000  6839.  8.83  6839.
 6    120003  2006       4.60  99353377   40735     0   5000     0   0        0
 7    120003  2007       4.65 104546824   39728     5   5000 15500   9.65  3100
 8    120003  2008       4.71 111265009   42280     1   5000  8775   9.08  8775
 9    120003  2009       4.78 119005219   36893     2   5000 37471. 10.5  18735.
10    120003  2010       4.74 114646079   36687     1   5000  9711.  9.18  9711.
# i 5,629 more rows
# i 14 more variables: lnDeduct <dbl>, Fire5 <dbl>, NoClaimCredit <dbl>,
#   TypeCity <dbl>, TypeCounty <dbl>, TypeMisc <dbl>, TypeSchool <dbl>,
#   TypeTown <dbl>, TypeVillage <dbl>, AC00 <dbl>, AC05 <dbl>, AC10 <dbl>,
#   AC15 <dbl>, severity <dbl>
```

The precise variable names and definitions depend on the dataset. The important idea is that **derived variables express information already contained in the data in a form that is more directly relevant to the actuarial question**.

3.5.4 Checking the result

Creating a variable does not guarantee that the resulting values are meaningful. Derived variables should be checked, particularly when the calculation involves division, logarithms, or other operations with restrictions.

For example, the calculation

$$\frac{y}{\text{Freq}}$$

is not defined when `Freq = 0`. In R, dividing zero claim observations may produce `NaN` when both the numerator and denominator are zero. The source material identifies this issue when calculating average claims and shows that the resulting `NaN` values arise from division by zero.

A better approach is usually to consider the meaning of the quantity before calculating it. Average claim severity is defined for observations where a claim has occurred, so observations with zero claims should be handled explicitly rather than simply replacing an undefined result after the calculation.

For example:

```
claims %>%
  mutate(
    severity = if_else(Freq > 0, y / Freq, NA_real_)
  )
```

```
# A tibble: 5,639 x 24
   PolicyNum  Year LnCoverage     BCcov Premium  Freq Deduct      y   lny   yAvg
       <dbl> <dbl>      <dbl>     <dbl>   <dbl> <dbl>  <dbl>  <dbl> <dbl>  <dbl>
 1    120002  2006       3.12  22714456    9313     0   1000      0   0        0
 2    120002  2007       3.22  25046646    8767     0   1000      0   0        0
 3    120002  2008       3.04  20851525    7090     0   1000      0   0        0
 4    120002  2009       3.08  21852696    8522     0   1000      0   0        0
 5    120002  2010       3.16  23511493    7994     1   1000  6839.   8.83  6839.
 6    120003  2006       4.60  99353377   40735     0   5000      0   0        0
 7    120003  2007       4.65 104546824   39728     5   5000 15500    9.65  3100
 8    120003  2008       4.71 111265009   42280     1   5000  8775    9.08  8775
 9    120003  2009       4.78 119005219   36893     2   5000 37471.  10.5  18735.
10    120003  2010       4.74 114646079   36687     1   5000  9711.   9.18  9711.
# i 5,629 more rows
# i 14 more variables: lnDeduct <dbl>, Fire5 <dbl>, NoClaimCredit <dbl>,
#   TypeCity <dbl>, TypeCounty <dbl>, TypeMisc <dbl>, TypeSchool <dbl>,
#   TypeTown <dbl>, TypeVillage <dbl>, AC00 <dbl>, AC05 <dbl>, AC10 <dbl>,
#   AC15 <dbl>, severity <dbl>
```

This records the severity as missing when there are no claims, reflecting the fact that there is no observed claim severity for such an observation.

> **!** Undefined is not the same as zero
>
> An observation with zero claims does not have a claim severity of zero.
> If
>
> $$N = 0,$$
>
> then
>
> $$\frac{Y}{N}$$

is undefined. A zero claim count means that no claim occurred; it does not mean that the severity of a claim was zero.

3.5.5 Transforming variables for analysis

Variable transformation can also make the data easier to analyze. A continuous variable may, for example, be converted into groups when the analysis requires comparisons between categories.

Suppose age is recorded as an exact numerical variable. We might create age groups such as 18–25, 26–35, 36–45, and 46 or older. The resulting categorical variable can then be used to compare claims experience across age groups.

The transformation should be guided by the purpose of the analysis. Grouping a continuous variable simplifies interpretation but also discards some information about the exact values. Consequently, grouping should be justified rather than performed automatically.

3.5.6 Transforming data as part of the workflow

Creating variables is most useful when it is viewed as part of a sequence of operations rather than as an isolated calculation. For example, we may first select the relevant variables, filter the observations, and then create a derived variable:

```
claims %>%
  select(PolicyNum, Year, y, Freq) %>%
  filter(Year == 2010) %>%
  mutate(
    severity = if_else(Freq > 0, y / Freq, NA_real_)
  )
```

```
# A tibble: 1,110 x 5
   PolicyNum  Year      y  Freq severity
       <dbl> <dbl>  <dbl> <dbl>    <dbl>
 1    120002  2010  6839.     1    6839.
 2    120003  2010  9711.     1    9711.
 3    120004  2010 10324.     1   10324.
 4    120005  2010     0      0      NA
 5    120008  2010  3470.     1    3470.
 6    120009  2010     0      0      NA
 7    120010  2010 35000      1   35000
 8    120012  2010 83935.    19    4418.
 9    120013  2010 63530.     5   12706.
10    120015  2010 38117.    11    3465.
# i 1,100 more rows
```

This sequence expresses the analytical logic directly:

$$\text{Select} \longrightarrow \text{Filter} \longrightarrow \text{Transform}.$$

The resulting data contain only the variables and observations needed for the analysis, together with the newly derived quantity.

This approach becomes increasingly useful as the analysis becomes more complex. Rather than repeatedly creating intermediate datasets, we can combine several operations into a readable sequence using the **pipe**. The next section introduces this way of expressing a data-transformation workflow.

3.6 Combining Operations with Pipes

Data transformation often involves several operations performed in sequence. For example, we may first select the variables of interest, then filter the observations, and finally create a new variable. Rather than writing each operation separately and creating intermediate data frames, we can connect the operations using the **pipe operator %>%**.

The pipe passes the result of the operation on its left to the function on its right. For example,

```
256 %>% sqrt()
```

```
[1] 16
```

is equivalent to

```
sqrt(256)
```

```
[1] 16
```

The result of `sqrt(256)` can then be passed to another function:

```
256 %>% sqrt() %>% log2()
```

```
[1] 4
```

This is equivalent to

```
log2(sqrt(256))
```

```
[1] 4
```

The pipe is particularly useful with `dplyr` because its data-manipulation functions take the data frame as their first argument. Thus,

```
claims %>%
  select(PolicyNum, Year, LnCoverage, yAvg) %>%
  filter(Year %in% c(2009, 2010))
```

```
# A tibble: 2,222 x 4
   PolicyNum  Year LnCoverage   yAvg
       <dbl> <dbl>      <dbl>  <dbl>
 1    120002  2009       3.08     0
 2    120002  2010       3.16  6839.
 3    120003  2009       4.78 18735.
 4    120003  2010       4.74  9711.
 5    120004  2009       3.50 14200.
 6    120004  2010       3.46 10324.
 7    120005  2009       3.61 13740.
 8    120005  2010       3.49     0
 9    120008  2009       3.81  6007.
10    120008  2010       3.86  3470.
# i 2,212 more rows
```

is equivalent to performing the operations separately:

```
new_table <- select(claims, PolicyNum, Year, LnCoverage, yAvg)

new_table <- filter(new_table, Year %in% c(2009, 2010))
```

The pipe version makes the sequence of operations more explicit. The data flow can be read from left to right:

$$\text{claims} \longrightarrow \text{select variables} \longrightarrow \text{filter observations.}$$

We can extend the sequence by adding further transformations:

```
claims %>%
  select(PolicyNum, Year, y, Freq) %>%
  filter(Year == 2010) %>%
  mutate(yAvg = y / Freq)
```

```
# A tibble: 1,110 x 5
   PolicyNum  Year      y  Freq   yAvg
       <dbl> <dbl>  <dbl> <dbl>  <dbl>
 1    120002  2010  6839.     1  6839.
 2    120003  2010  9711.     1  9711.
```

```
 3    120004  2010 10324.     1 10324.
 4    120005  2010     0      0   NaN
 5    120008  2010  3470.     1  3470.
 6    120009  2010     0      0   NaN
 7    120010  2010 35000      1 35000
 8    120012  2010 83935.    19  4418.
 9    120013  2010 63530.     5 12706.
10    120015  2010 38117.    11  3465.
# i 1,100 more rows
```

Each step receives the result of the previous step. The complete workflow can therefore be read as:

$$\text{Select} \longrightarrow \text{Filter} \longrightarrow \text{Transform}.$$

This style is particularly useful when the analysis involves several transformations because each step corresponds to a recognizable analytical action. The source material uses the same principle to combine `select()`, `filter()`, and `head()` in a single sequence.

Reading a pipe

When reading a sequence of piped operations, start from the left and proceed to the right.

```
data %>%
  operation_1() %>%
  operation_2() %>%
  operation_3()
```

means that the data are passed through `operation_1`, then the resulting data are passed through `operation_2`, and finally through `operation_3`.

The pipe does not introduce a new statistical method. Its purpose is to make a sequence of data operations easier to write and understand. The resulting code should still be evaluated according to the actuarial question being addressed.

Once the relevant observations have been selected and the required variables have been created, we can move from individual observations to **summaries of the data**.

3.7 Grouping and Summarizing Data

A large dataset is often too detailed to interpret by inspecting individual observations. **Summary statistics** provide a way to reduce many observations to a small number of quantities that describe important features of the data.

Common summary statistics include the mean, standard deviation, minimum, maximum, median, and quantiles. In actuarial analysis, other summaries such as total exposure, number of claims, aggregate claim amount, claim frequency, and average claim severity are also important.

The `dplyr` package provides the `summarise()` function for calculating summary statistics.

For example, suppose we want to calculate the mean and standard deviation of average claim severity for observations in 2010 where at least one claim occurred:

```
summary_table <- claims %>%
  filter(Year == 2010 & Freq > 0) %>%
  summarise(
    Mean = mean(yAvg),
    SD = sd(yAvg)
  )
```

The resulting data frame contains one row with the two requested summaries. The names `Mean` and `SD` are chosen by the analyst.

The filtering step is important here. Average claim severity is meaningful only for observations with positive claim counts. The source material uses the same sequence of filtering to calculate the mean and standard deviation of average severity for 2010.

3.7.1 Grouping observations

A single summary for the entire dataset may hide important differences between groups. In exploratory analysis, we often want to calculate the same summaries separately for different levels of a variable.

The `group_by()` function divides the data into groups. A subsequent `summarise()` then calculates the requested summaries separately within each group.

For example, instead of calculating average severity for only 2010, we can calculate it separately for each year:

```
summary_table_all_years <- claims %>%
  group_by(Year) %>%
  filter(Freq > 0) %>%
  summarise(
    Mean = mean(yAvg),
    SD = sd(yAvg)
  )
```

The result contains one row for each year, with the mean and standard deviation calculated using the observations belonging to that year. The source material demonstrates this use of `group_by(Year)` followed by `summarise()`.

The conceptual difference is:

```
summarise(...)
```

calculates a summary for the selected data as a whole, whereas

```
group_by(variable) %>%
  summarise(...)
```

calculates the summary separately for each level of `variable`.

This distinction is fundamental to actuarial analysis because risk experience is rarely homogeneous across an entire portfolio.

3.7.2 Grouping by rating variables

Grouping becomes particularly useful when investigating **rating variables**. For example, we may want to compare claims experience across characteristics such as entity type, alarm credit, no-claim credit, or fire class. The same principle applies to insurance variables such as age group, ZIP code, vehicle type, or bonus-malus level.

In the claims dataset, entity type is represented by several binary indicator variables, such as `TypeCounty`, `TypeMisc`, `TypeSchool`, and `TypeTown`, rather than by a single categorical variable. If we want to analyse claims experience by entity type, we can first combine these indicators into a single categorical variable.

For example:

```
claims <- claims %>%
  mutate(
    EntityType = case_when(
      TypeCounty == 1 ~ "County",
      TypeMisc == 1 ~ "Misc",
      TypeSchool == 1 ~ "School",
      TypeTown == 1 ~ "Town",
      TypeVillage == 1 ~ "Village",
      TRUE ~ "City"
    )
  )

claims
```

```
# A tibble: 5,639 x 24
   PolicyNum  Year LnCoverage     BCcov Premium  Freq Deduct      y   lny   yAvg
       <dbl> <dbl>      <dbl>     <dbl>   <dbl> <dbl>  <dbl>  <dbl> <dbl>  <dbl>
 1    120002  2006       3.12  22714456    9313     0   1000      0   0        0
 2    120002  2007       3.22  25046646    8767     0   1000      0   0        0
 3    120002  2008       3.04  20851525    7090     0   1000      0   0        0
 4    120002  2009       3.08  21852696    8522     0   1000      0   0        0
 5    120002  2010       3.16  23511493    7994     1   1000  6839.   8.83  6839.
 6    120003  2006       4.60  99353377   40735     0   5000      0   0        0
 7    120003  2007       4.65 104546824   39728     5   5000 15500   9.65  3100
 8    120003  2008       4.71 111265009   42280     1   5000  8775   9.08  8775
```

```
 9    120003  2009       4.78 119005219   36893     2   5000 37471. 10.5  18735.
10    120003  2010       4.74 114646079   36687     1   5000  9711.  9.18  9711.
# i 5,629 more rows
# i 14 more variables: lnDeduct <dbl>, Fire5 <dbl>, NoClaimCredit <dbl>,
#   TypeCity <dbl>, TypeCounty <dbl>, TypeMisc <dbl>, TypeSchool <dbl>,
#   TypeTown <dbl>, TypeVillage <dbl>, AC00 <dbl>, AC05 <dbl>, AC10 <dbl>,
#   AC15 <dbl>, EntityType <chr>
```

The `case_when()` function checks the conditions in order and assigns the corresponding category. Here, the remaining observations are classified as `City`.

Once `EntityType` has been created, we can use it with `group_by()` to compare claims experience across the different entity types. For example, if `yAvg` represents average claim severity:

```
claims %>%
  group_by(EntityType) %>%
  summarise(
    Mean = mean(yAvg, na.rm = TRUE),
    SD = sd(yAvg, na.rm = TRUE)
  )
```

```
# A tibble: 6 x 3
  EntityType   Mean      SD
  <chr>       <dbl>   <dbl>
1 City        8707.  44794.
2 County     11590.  33285.
3 Misc        5229.  54625.
4 School     20791. 366484.
5 Town        1491.  32629.
6 Village     2874.  18389.
```

This produces a summary of the mean and standard deviation of claim severity for each entity type. The same approach can be applied to other rating variables once they are represented in a form suitable for grouping.

The resulting table allows us to compare the observed experience of different groups. However, differences in averages should always be considered together with the amount of data supporting each group. A group with very little exposure or few claims may have an extreme observed value simply because of random variation.

3.7.3 Summarizing insurance experience

The same grouping principle can be used to produce more directly actuarial summaries.

In this dataset, `Freq` represents the number of claims and `y` represents the aggregate claim amount. We can therefore calculate the total number of claims and aggregate claim amount for each rating group:

```r
claims %>%
  group_by(EntityType) %>%
  summarise(
    claims = sum(Freq),
    amount = sum(y)
  )
```

```
# A tibble: 6 x 3
  EntityType claims    amount
  <chr>       <dbl>     <dbl>
1 City         1539 18609205.
2 County       1607 25491545.
3 Misc          113  3401011.
4 School       2290 42999241.
5 Town          100  1605103.
6 Village       606  5376997.
```

These totals provide a simple description of the volume of claims and the total cost of claims within each group.

If `yAvg` represents the average claim severity for each observation, we can also summarize severity by rating group:

```r
claims %>%
  group_by(EntityType) %>%
  summarise(
    mean_severity = mean(yAvg, na.rm = TRUE),
    sd_severity = sd(yAvg, na.rm = TRUE)
  )
```

```
# A tibble: 6 x 3
  EntityType mean_severity sd_severity
  <chr>              <dbl>       <dbl>
1 City               8707.      44794.
2 County            11590.      33285.
3 Misc               5229.      54625.
4 School            20791.     366484.
5 Town               1491.      32629.
6 Village            2874.      18389.
```

Alternatively, when `y` is the aggregate claim amount and `Freq` is the corresponding claim count, the overall average severity for each group can be calculated as:

```r
claims %>%
  group_by(EntityType) %>%
  summarise(
    claims = sum(Freq),
    amount = sum(y),
    severity = amount / claims
  )
```

```
# A tibble: 6 x 4
  EntityType claims    amount severity
  <chr>       <dbl>     <dbl>    <dbl>
1 City         1539 18609205.   12092.
2 County       1607 25491545.   15863.
3 Misc          113  3401011.   30097.
4 School       2290 42999241.   18777.
5 Town          100  1605103.   16051.
6 Village       606  5376997.    8873.
```

Here, `severity` represents the average amount per claim within each `EntityType`. The calculation is based on the total claim amount divided by the total number of claims, rather than taking a simple average of individual observations.

These summaries illustrate two important dimensions of claims experience:

$$\text{Claims experience} = \text{Frequency} \times \text{Severity}.$$

In this dataset, we can examine claim counts and severity directly. A conventional claim frequency, however, requires an appropriate measure of exposure. Since exposure is not available in this dataset, we do not calculate frequency as claims divided by exposure here. Exposure-based frequency measures will be introduced when a dataset containing exposure information is used.

! Volume and experience

When comparing groups, do not look only at the calculated risk measure. It is also important to consider the **volume of observations or claims** supporting the measure.
For example, two groups may have similar average severities but very different numbers of claims. Conversely, a group with an unusually high average severity may contain only a small number of claims, making the observed estimate relatively unstable.
The number of observations, claim counts, and aggregate claim amounts therefore provide useful context when interpreting differences between rating groups.

Grouping and summarizing provide a systematic way to compare claims experience across risk factors. These summaries form a useful starting point for actuarial analysis before more formal frequency, severity, and premium models are considered.

3.8 Insurance Summaries

The grouping and summarizing operations introduced above allow us to move from individual observations to quantities that are more directly relevant to actuarial analysis. In insurance, we are often interested in the number and cost of claims and in measures that allow claims experience to be compared across groups.

Several basic quantities are particularly important.

3.8.1 Claim count

The **claim count** is the total number of claims observed within a group. In the current dataset, `Freq` represents the number of claims for each observation. We can therefore calculate the total claim count for each `EntityType` as follows:

```
claims %>%
  group_by(EntityType) %>%
  summarise(
    claims = sum(Freq)
  )
```

```
# A tibble: 6 x 2
  EntityType claims
  <chr>       <dbl>
1 City         1539
2 County       1607
3 Misc          113
4 School       2290
5 Town          100
6 Village       606
```

The resulting value represents the total number of claims observed in each group.

3.8.2 Aggregate claim amount

The **aggregate claim amount** is the total amount paid or incurred for claims within a group. If `y` represents the aggregate claim amount for each observation, it can be obtained by summing `y`:

```
claims %>%
  group_by(EntityType) %>%
  summarise(
    claims = sum(Freq),
    amount = sum(y)
  )
```

```
# A tibble: 6 x 3
  EntityType claims    amount
  <chr>       <dbl>     <dbl>
1 City         1539 18609205.
2 County       1607 25491545.
3 Misc          113  3401011.
4 School       2290 42999241.
5 Town          100  1605103.
6 Village       606  5376997.
```

The claim count and aggregate claim amount describe two different aspects of claims experience. A group may have many claims but relatively low total claim costs, or relatively few claims but a high total claim amount.

3.8.3 Claim severity

Claim severity measures the average amount associated with a claim. At the group level, it can be calculated as aggregate claim amount divided by the total number of claims:

$$\text{Severity}_j = \frac{\text{Aggregate claims}_j}{\text{Claims}_j},$$

where j denotes a particular rating group.

For example:

```
claims %>%
  group_by(EntityType) %>%
  summarise(
    claims = sum(Freq),
    amount = sum(y),
    severity = amount / claims
  )
```

```
# A tibble: 6 x 4
  EntityType claims    amount severity
  <chr>       <dbl>     <dbl>    <dbl>
1 City         1539 18609205.   12092.
2 County       1607 25491545.   15863.
3 Misc          113  3401011.   30097.
4 School       2290 42999241.   18777.
5 Town          100  1605103.   16051.
6 Village       606  5376997.    8873.
```

This calculation gives the average claim amount for each `EntityType`. It is preferable to simply taking the average of individual claim amounts when observations may represent different numbers of claims, because the group-level calculation uses the total claim amount and total number of claims.

3.8.4 Exposure and claim frequency

In many insurance applications, claim counts are interpreted relative to the amount of **exposure** underlying the business. Exposure measures the amount of risk insured or the period for which the risk was covered. For example, one policy-year may represent one unit of exposure.

When exposure is available, the claim frequency for group j can be calculated as

$$\text{Frequency}_j = \frac{\text{Claims}_j}{\text{Exposure}_j}.$$

This is different from claim count. A group with 100 claims does not necessarily have a higher claim frequency than a group with 50 claims if the first group has substantially more exposure.

The current claims dataset does not contain an exposure variable. Therefore, we do not calculate exposure-based claim frequency from this dataset. Instead, we focus on claim counts, aggregate claim amounts, and severity. Exposure-based frequency will be introduced when we work with a dataset containing an appropriate exposure measure.

3.8.5 Frequency, severity, and risk premium

In actuarial analysis, frequency and severity are often combined to describe the expected claim cost per unit of exposure. Conceptually,

$$\text{Risk premium} = \text{Frequency} \times \text{Severity}.$$

Thus, when exposure is available,

$$\text{Risk premium}_j = \frac{\text{Claims}_j}{\text{Exposure}_j} \times \frac{\text{Aggregate claims}_j}{\text{Claims}_j} = \frac{\text{Aggregate claims}_j}{\text{Exposure}_j}.$$

This relationship provides an important connection between the basic summaries and later actuarial pricing models. Frequency describes how often claims occur, severity describes the average cost of a claim, and their product gives the expected claim cost per unit of exposure.

For the current dataset, however, the quantities that can be directly summarized are claim count, aggregate claim amount, and severity:

```
claims %>%
  group_by(EntityType) %>%
  summarise(
    claims = sum(Freq),
    amount = sum(y),
    severity = amount / claims
  )
```

```
# A tibble: 6 x 4
  EntityType claims    amount severity
  <chr>       <dbl>     <dbl>    <dbl>
1 City         1539 18609205.   12092.
2 County       1607 25491545.   15863.
3 Misc          113  3401011.   30097.
4 School       2290 42999241.   18777.
5 Town          100  1605103.   16051.
6 Village       606  5376997.    8873.
```

These summaries provide a first description of claims experience across rating groups. They do not, by themselves, establish that one group should be charged a higher premium than another. Such a conclusion requires consideration of the amount of business represented by each group and, ultimately, an appropriate statistical model.

Key actuarial quantities

When exposure is available, the basic relationships can be summarized as

$$\text{Frequency} = \frac{\text{Claims}}{\text{Exposure}},$$

$$\text{Severity} = \frac{\text{Aggregate claims}}{\text{Claims}},$$

and

$$\text{Risk premium} = \text{Frequency} \times \text{Severity}.$$

Equivalently,

$$\text{Risk premium} = \frac{\text{Aggregate claims}}{\text{Exposure}}.$$

The current dataset allows us to examine claims and severity, but not exposure-based frequency or risk premium.

3.9 Interpreting Insurance Summaries

Calculating insurance summaries is only the first step. In actuarial analysis, the more important question is what these summaries tell us about the underlying claims experience. A difference between two groups does not automatically imply that one group represents a higher-risk class. The size and composition of each group must also be considered.

3.9.1 Comparing groups

Suppose we summarize claims experience by `EntityType`:

```r
claims %>%
  group_by(EntityType) %>%
  summarise(
    observations = n(),
    claims = sum(Freq),
    amount = sum(y),
    severity = amount / claims
  )
```

```
# A tibble: 6 x 5
  EntityType observations claims    amount severity
  <chr>             <int>  <dbl>     <dbl>    <dbl>
1 City                793   1539 18609205.   12092.
2 County              328   1607 25491545.   15863.
3 Misc                609    113  3401011.   30097.
4 School             1597   2290 42999241.   18777.
5 Town                971    100  1605103.   16051.
6 Village            1341    606  5376997.    8873.
```

The resulting table allows us to compare groups using several measures. For example, one group may have a higher aggregate claim amount simply because it contains more observations. Another group may have fewer claims but a substantially higher average severity.

It is therefore useful to consider **experience** and **volume** together.

3.9.2 Experience and volume

The term **experience** refers to the observed claims results, such as the number or cost of claims. **Volume** refers to the amount of business supporting those results, such as the number of observations, claims, or exposure.

For example, consider two groups:

Group	Observations	Claims	Aggregate claims	Severity
A	1,000	100	500,000	5,000
B	20	5	40,000	8,000

Group B has a higher observed severity, but this result is based on only five claims. Group A has considerably more claims and therefore provides more observations from which to assess the underlying claims experience.

This does not mean that the result for Group B should be ignored. Rather, the difference should be interpreted with appropriate caution.

! Volume matters

A calculated summary should always be considered together with the amount of data supporting it.
A group with a small number of observations or claims can produce an extreme observed result simply through random variation. Conversely, a result based on a large volume of business may provide more stable evidence of an underlying difference in risk.
Therefore, when comparing rating groups, ask both:

- **What is the observed claims experience?**
- **How much data support that experience?**

3.9.3 Claim count is not frequency

It is also important to distinguish **claim count** from **claim frequency**.

A claim count measures the number of claims:

$$\text{Claims} * j = \sum_i N * ij.$$

A claim frequency relates the number of claims to the amount of exposure:

$$\text{Frequency}_j = \frac{\text{Claims}_j}{\text{Exposure}_j}.$$

Consequently, comparing claim counts between groups can be misleading when the groups contain different amounts of business.

For example, a group with 200 claims may appear to have worse experience than a group with 100 claims. However, if the first group has 10,000 exposure units while the second has only 1,000, their claim frequencies are

$$\frac{200}{10{,}000} = 0.02$$

and

$$\frac{100}{1{,}000} = 0.10,$$

respectively. The group with fewer claims actually has the higher claim frequency.

3.9.4 Observed differences are not necessarily causal

Differences between rating groups should also be interpreted carefully. A group may have higher observed severity because of another characteristic that is associated with both the group and claim severity.

For example, suppose one `EntityType` has higher observed claim severity. This does not by itself establish that the type of entity causes higher claim severity. The group may differ from other groups in coverage, deductible, location, or other risk characteristics.

This is one reason why simple grouped summaries are useful for **exploratory analysis**, but are not sufficient on their own for determining rating relativities or premiums.

3.9.5 From summaries to actuarial judgment

Grouped summaries provide an initial view of the claims experience associated with different rating variables. They help identify patterns, unusual observations, and potential differences between groups.

However, actuarial analysis requires more than identifying which group has the largest observed value. A sound interpretation considers:

1. the observed claims experience;
2. the volume of business supporting the experience;
3. the definition of the measure being compared;
4. other characteristics that may differ between groups; and
5. the uncertainty associated with the observed results.

These considerations provide the bridge from **descriptive analysis** to **actuarial modelling**. Statistical models can then be used to assess the relationship between claims outcomes and multiple rating variables simultaneously, rather than relying only on unadjusted comparisons between groups.

> **i** From data to actuarial decision
>
> The purpose of data manipulation and summarization is not simply to produce tables. The objective is to obtain evidence that can support actuarial judgment.
> A useful progression is:
>
> $$\text{Data} \rightarrow \text{Summary} \rightarrow \text{Comparison} \rightarrow \text{Interpretation} \rightarrow \text{Actuarial decision}.$$
>
> The summaries developed in this chapter provide the descriptive foundation for the statistical and actuarial models considered later.

> **i** Beyond the examples in this chapter
>
> The operations introduced in this chapter cover the main `dplyr` tools needed for the analyses that follow, but they are not an exhaustive list. `dplyr` also provides functions for joining datasets, arranging observations, counting records, handling missing values, working with

distinct observations, and performing more advanced grouped operations.
The purpose here is to establish the core principles of data manipulation rather than to cover every available function. The same principles can be extended to more complex datasets and analyses as needed.